

CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 15, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—About the U.S. Federal Budget Deficit, Intra-year Market

Drawdowns and China Trade: This week, we highlight three dynamics that remain top of mind for investors. First, on the topic of the U.S. federal budget deficit: Deficits matter and have ballooned this decade, but we don't view it as an existential risk to the U.S. economy and capital markets. The deficit has technically narrowed this fiscal year, hovering at around 5.2% of gross domestic product (GDP), while public sector debt stands at a manageable 100% of GDP. Second, on the concerns of a potential market correction: Intra-year drawdowns are the rule, not the exception. Amid worries about valuations, inflation and geopolitical conflict, remember that market drawdowns are part and parcel of investing and essential to long-term gains. Third and finally, on the subject of China's trade surplus: Mercantilism is alive and well, with China's trade surplus still tracking at an annualized \$1.2 trillion. Think more protectionism, industrial policy and inward-looking economies around the world, auguring for more capital spending and reinforcing our conviction in this multi year infrastructure buildout.

Market View—The AI Bubble Debate: Few questions have followed this bull market more closely than whether this Artificial Intelligence (AI)-fueled rally is building toward a bubble—and the debate has once again moved to the forefront. While similar concerns have surfaced at various points during this cycle, they have largely proven premature, with equity markets continuing to advance. Still, the persistence of the question reflects a deeper uncertainty. This rally is being driven by a structural technological shift expected to unfold over multiple years. AI has the potential to boost productivity growth, expand margins and drive long-term economic growth, but the timing and magnitude of those gains remain uncertain, leaving investors navigating a wide range of possible outcomes. For investors, the focus should shift from prediction to positioning: Staying diversified, avoiding overconcentration and remaining disciplined as the AI cycle continues to evolve.

Thought of the Week—Game On: Keeping Consumer Financial Health In Check:

Tickets for the New York Knicks Finals and the expected surge in spending ahead of the FIFA World Cup highlight the strength of experiential consumption. Consumers are demonstrating a clear willingness to pay premium prices and that's reflected in solid aggregate spending, with total card outlays rising 5.1% year-over-year (YoY) in May according to Bank of America Institute card data.

Despite the gasoline "tax" of roughly \$32 billion added to the consumer burden since the U.S./Iran war broke out, overall spending has remained intact. Importantly, this strength has extended beyond the additional dollars at the pump, with underlying demand for both goods and services still solid. While household debt service remains manageable relative to history, consumers have increasingly reached for credit, with total balances approaching record highs although not materially derailing the consumer.

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

About the U.S. Federal Budget Deficit, Intra-year Market Drawdowns, and China Trade

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

We highlight three dynamics that are top of mind among investors: The federal budget deficit, market drawdowns and China’s soaring trade surplus.

The U.S. Federal Budget Deficit: Don’t Sweat It. Yes, deficits matter. And yes, the U.S. federal budget deficit (in both relative and absolute terms) has ballooned this decade. But that said, we don’t view the deficit as an existential risk to the U.S. economy and capital markets—and neither does Wall Street. If the markets were really concerned about the deficit, the dollar would be weakening, Treasury yields would be exploding, and capital would be fleeing the U.S. None of those factors are at play: The greenback remains the world’s reserve currency; Treasury securities remain the world’s benchmark less risky asset; and foreign demand for U.S. securities remains solid.

Alleviating investor concerns is the fact that the U.S. budget deficit has actually narrowed this fiscal year. That’s not a typo: Through the first eight months of FY 2026, the deficit tallied \$1.2 trillion, down \$118 billion from the same period a year ago. That’s an 8.7% decline in the deficit according to figures from the U.S. Treasury. The deficit as a percentage of GDP has been tracking at 5.2% over the last 12 months, relatively close to the average of 4.6% since 2000 (Exhibit 1A).

Presently, public sector debt as a percentage of GDP hovers around 100% (Exhibit 1B), which, we believe, is a manageable level for a \$32 trillion economy considered to be the most dynamic and resilient in the world. We view the federal budget deficit as a slow-moving structural headwind rather than a fast-approaching fiscal cliff. Yes, mandatory spending programs like Medicare, Medicaid and Social Security bear close watching. Ditto for defense spending and interest payments on existing debt. The future trajectory of the U.S. economy is key since growth is the tonic to deficits. Since we believe the U.S. will continue to lead the world in innovation, continue to attract top global talent, remain the preferred destination of capital, and realize meaningful productivity gains from AI—against this backdrop, the U.S. debt challenge remains manageable.

Investment Implications

U.S. growth, backstopped by innovation, capital demand and productivity gains, keeps debt manageable for now, in our view. We continue to maintain a U.S. bias in portfolios and would view near-term pullbacks as potential buying opportunities for long-term investors. Finally, we remain overweight Industrials amid a historic infrastructure buildout and capital spending cycle.

Exhibit 1: Don’t Sweat the Federal Budget Deficit.

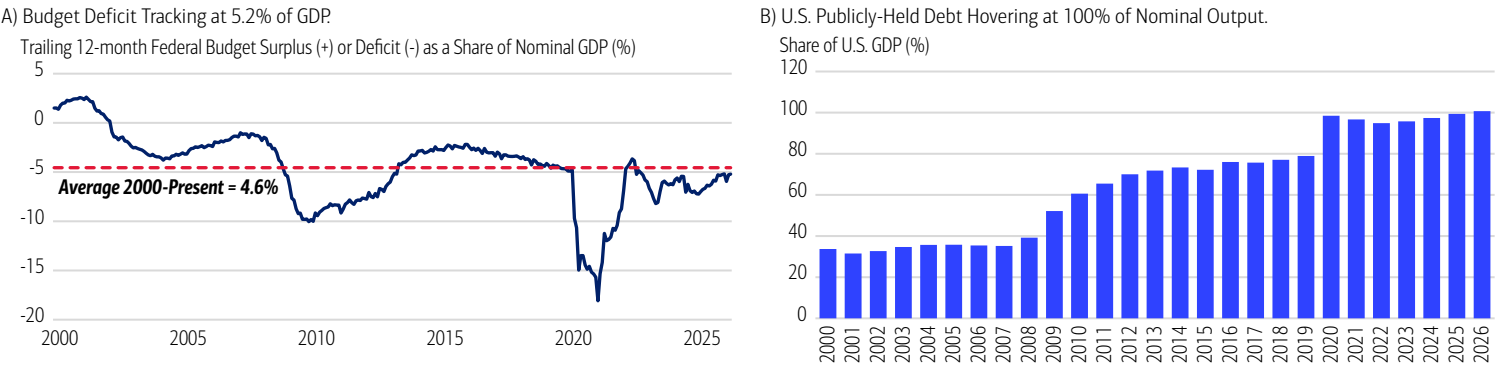


Exhibit 1A) Sources: U.S. Treasury, Congressional Budget Office; Bureau of Economic Analysis; Bloomberg. Data as of June 10, 2026. Exhibit 1B) Sources: U.S. Treasury; Haver Analytics. Data through Q1 2026, as of June 11, 2026.

Market Drawdowns: The Rule, Not the Exception...and a Potential Opportunity. Investment returns never follow a straight line. There are always zigs and zags or, in investment parlance, intra-year drawdowns that can test the mettle of investor confidence. That is all too evident from Exhibit 2A, which illustrates annual S&P 500 returns since 2000 versus intra-year drawdowns or market declines. The key takeaway—the journey to market returns is rarely smooth.

Indeed, since 1980, the average intra-year drawdown for the S&P 500 has been around 15%. Since 2000, market corrections of 10% or more have occurred in 16 years out of 26, or about 62% of the time.

Drawdowns are part and parcel of investing—a key fact worth noting as concerns mount over the durability of the current rally. These concerns include elevated valuations for a handful of AI and technology stocks that have driven a disproportionate share of market gains this year; narrow market leadership and outsized market concentration; elevated levels of inflation, muddling the outlook for interest rates and complicating the job of the Federal Reserve (Fed); and geopolitical stress points, notably in the Middle East.

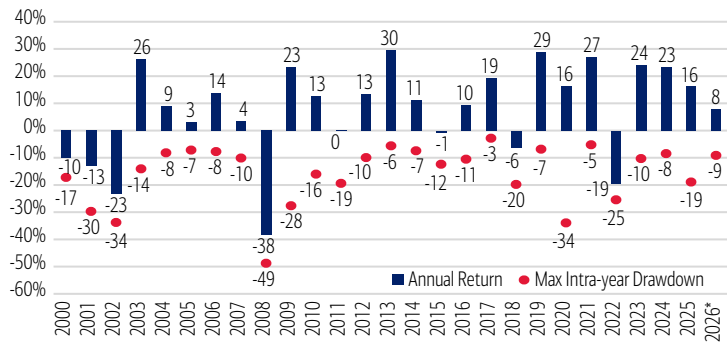
Given the above, all the ingredients are in place for a near-term pullback—that would not surprise us. But that said, it is important to remember that drawdowns are not only unavoidable but also essential. Superior long-term returns offered by stocks exist precisely because investors must tolerate periodic bouts of uncertainty and volatility. If Equities delivered high returns without any risks, investors would bid prices higher until those excess returns disappeared. The discomfort and uncertainty associated with drawdowns is the price investors pay for long-term gains.

It is also important to remember the following: Historically, some of the strongest market rallies have occurred during periods of maximum pessimism and that missing even a handful of the market's best recovery days would have significantly reduced long-term returns. Ergo, stay in the market. Finally, market corrections are normal—and from our perspective, attractive potential buying opportunities for long-term investors.

China's Trade Surplus: Mercantilism is Alive and Well. We believe China's widening trade surplus is one of the most important structural forces shaping the global economy, and therefore note that through the first five months of this year, there has been no let up. The nation's massive merchandise exports grew by 24% in May alone, surpassing \$4 trillion on an annualized basis for the first time on record. On a 12-month trailing basis, the trade surplus is running at an annual clip of \$1.2 trillion, strongly suggesting that mercantilism is alive and well in China (Exhibit 2B). This comes on the heels of a surplus of \$993 billion in 2024 and \$1.2 trillion in 2025.

Exhibit 2: Volatility is Normal, and China's Trade Surplus is Structural.

A) Intra-Year Drawdowns in the S&P 500 Are Par for the Course.



B) Mercantilism is Alive and Well: China's \$1.2 Trillion Trade Surplus.

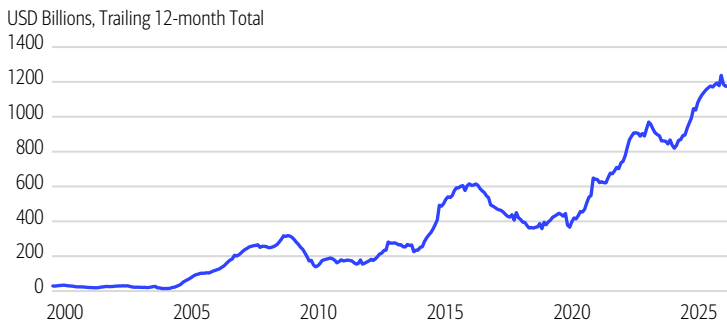


Exhibit 2A) *Year-to-date through June 9, 2026. Source: Bloomberg. Data as of June 9, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index. Exhibit 2B) Sources: China's General Administration of Customs; Haver Analytics. Data as of June 9, 2026.

The scale of China's surplus reflects its underlying export prowess—the nation is not only moving up the value chain in terms of exports (electric vehicles, batteries, solar panels, industrial robots, etc.). It still remains dominant in the export of lower-value manufacturing goods like footwear, textiles and apparel. The result is a manufacturing powerhouse unlike anything the modern world has seen.

China's ballooning trade surplus matters because the greater the surplus, the greater the risk of rising global protectionism and its offshoots—more nationalism, more industrial policies, more fragmented global supply chains and more resource protectionism. The U.S., Europe, India, Brazil, Mexico and others have become more vocal about China's excess capacity hurting their own domestic industries.

China's mercantilism is effectively encouraging other countries to become mercantilist themselves. The key focus of governments has flipped from being globally opened to being domestically focused. The emphasis of nations is now squarely on domestic manufacturing, supply chain resilience, national security, energy security and technological sovereignty. That equates to a more inward-looking, higher-cost global economy for both consumers and corporations.

From an investment perspective, this means more spending on capital spending—or more investment in power grids, factories, ports, ships, defense, data centers and related facilities. Believing we are in a multi year infrastructure buildout, we remain overweight and constructive on all things industrial.

The AI Bubble Debate

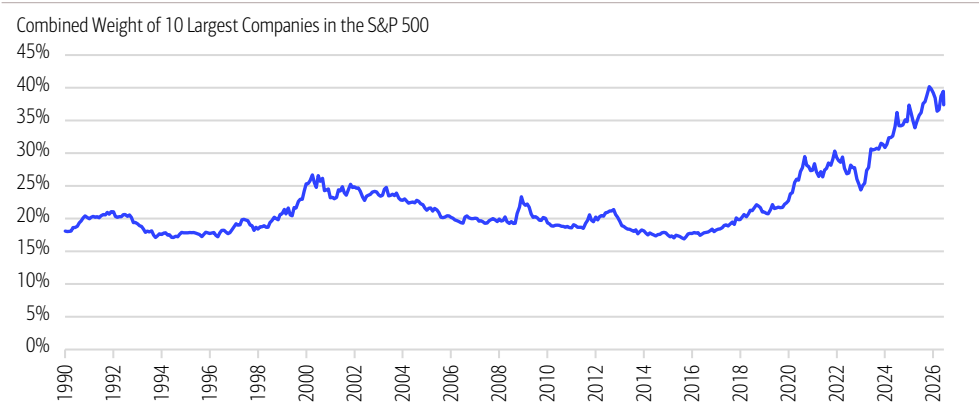
Kirsten Cabacungan, Vice President and Investment Strategist

Few questions have followed this bull market more closely than whether this AI-fueled rally is building toward a bubble—and the debate has once again moved to the forefront. While similar concerns have surfaced at various points during this cycle, they have largely proven premature, with equity markets continuing to advance. Still, the persistence of the question reflects a deeper uncertainty. This rally is being driven by a structural technological shift expected to unfold over multiple years. AI has the potential to boost productivity growth, expand margins and drive long-term economic growth, but the timing and magnitude of those gains remain uncertain, leaving investors navigating a wide range of possible outcomes.

Recent volatility has sharpened the debate. Following a sharp AI-led rebound that quickly pushed the S&P 500 back to all-time highs following the recent drawdown, the Technology rally has paused as investors reassess positioning amid renewed geopolitical tensions and inflation surprises. While such volatility is not unusual, it has reinforced the question of whether markets have moved too far, too fast.

These concerns are not without merit. This bull market has been characterized by unusually narrow leadership, with a small group of mega-cap, AI-linked companies driving a disproportionate share of returns. Just 10 stocks have accounted for more than half of the S&P 500’s cumulative 114% total return since the bull market began in October 2022, while the weight of the top 10 stocks in the index has risen to roughly 37%, one of the highest levels over the last three decades (Exhibit 3). At the same time, valuation measures remain above historical averages. While elevated multiples can be justified in periods of strong earnings growth, they can also leave markets sensitive to changes in expectations. As recent weakness in software stocks has shown, sentiment can change quickly when growth assumptions are challenged.

Exhibit 3: The Largest 10 Stocks Represent More Than a Third of the S&P 500.



Source: Bloomberg. Data as of June 10, 2026.

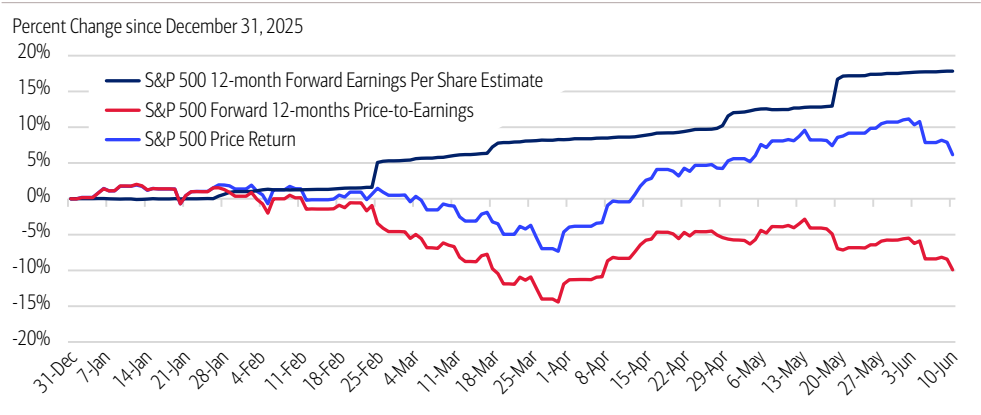
The scale of investment tied to the AI buildout has further intensified the debate. Spending on AI infrastructure is accelerating rapidly, with BofA Global Research estimating hyperscaler capital expenditures could approach \$800 billion in 2026, reflecting a 67% increase from last year, and trend toward \$1 trillion in 2027. Investor scrutiny over the last few years has largely stemmed from questions on whether the economic return will ultimately justify this level of investment and how quickly that spending can translate into sustained earnings growth and economywide productivity gains.

Investment Implications

We see a series of reinforcing trends in this environment, with the AI buildout continuing to accelerate and the fundamental backdrop supported by robust earnings growth and upward earnings revisions. We maintain an overweight to Equities, but emphasize broad diversification across sectors, style, size and geographies as risks remain. We continue to view periods of market weakness as potential buying opportunities.

Yet focusing solely on these factors risks missing what makes the current cycle different. Unlike the late-1990s Dot-com bubble, the bull market today has been broadly aligned with the underlying earnings trends. According to analysis by Strategas Research, the S&P 500's trailing earnings growth over the last five years (+79%) is roughly equivalent to its total return (+85%) over the same period, while the Dot-com era from 1995 to 1999 saw total return (+220%) for the index significantly outpace earnings growth (+67%).¹ In fact, S&P 500 returns this year have been supported by strong earnings growth, leading to modest multiple compression rather than the broad valuation expansion typical of speculative excess (Exhibit 4).

Exhibit 4: Earnings, Not Multiple Expansion Has Underpinned the S&P 500 Rally this Year.



Source: Bloomberg. Data as of June 10, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

This cycle distinction is reinforced by the underlying quality of the market itself. The composition of the S&P 500 has shifted over time toward higher profit margins, better credit quality, greater earnings durability and higher exposure to more growth-oriented areas. As a result, profitability today is structurally stronger than in prior decades, supporting higher average valuation levels than historical comparisons might imply. Even so, valuations have historically explained little about near-term returns and more about the variability in returns over longer time horizons.

The nature of the AI investment cycle also sets it apart. While the scale of capital expenditure is unprecedented, the cycle appears to be driven by strong underlying demand rather than speculative overbuild. Increasingly, the debate is shifting away from whether returns will come to whether AI infrastructure across compute, power generation, component supply, data center construction, can keep up with the demand. History suggests cycle peaks are driven by oversupply. The supply constrained environment today stands in contrast to the considerable capacity overbuild during the late 1990s.

Still, this backdrop does not eliminate risk. The sustainability of earnings over time remains a key vulnerability. A slowdown in growth or tighter financial conditions in a scenario where the Fed must hike interest rates to fight inflation could challenge current expectations. Given a high level of concentration, any change in sentiment toward those leading companies could have an outsized impact on broader market performance.

In that context, the question facing investors is less about whether this is a bubble and more about how to navigate a market defined by both strong fundamentals and evolving risks. Rather than taking an all-or-nothing view, investors should remain diversified, avoid overexposure to any single theme and stay anchored in a disciplined investment process. The AI cycle may prove durable, but the path ahead may not always be linear.

¹ Strategas Research, "Not yet like 1999." May 27, 2026.

Game On: Keeping Consumer Financial Health In Check

Lauren Sanfilippo, Director and Senior Investment Strategist

Tickets for the New York Knicks Finals and the anticipated surge in spending ahead of the FIFA World Cup both serve as powerful indicators of consumer demand trends. Whether it's tickets-at-any-cost, or sold-out stadiums and arenas, experientially driven consumers are happily hiking their spending to meet prices. More broadly, aggregate spending has been remarkably robust over the month of May, with total card spending rising 5.1% YoY in May, according to Bank of America Institute internal card data.

The energy price spike emanating from the Middle East conflict has ladled on an extra consumer burden of \$32 billion since the start of the war. National averages for a gallon of unleaded regular gasoline have climbed to roughly \$4.15 per gallon from \$2.98, adding extra sting to inflation that's running above 4% as of the latest consumer price index reading for May.² But it isn't just gasoline-driven spending, Institute data suggests underlying spending remains firm across both goods and services.

That's partially attributable to aggregate debt service that remains relatively contained. As a share of disposable personal income, household debt service ratios are still modest by historical standards and well below the peaks seen ahead of the financial crisis (Exhibit 5A). However, in sustaining the spending momentum, consumers have been running up their credit card balances plenty. Collectively topping \$1.25 trillion³ and encompassing both revolving (as in credit cards) and nonrevolving (mortgage, auto and student loans), consumer credit is back near record highs.

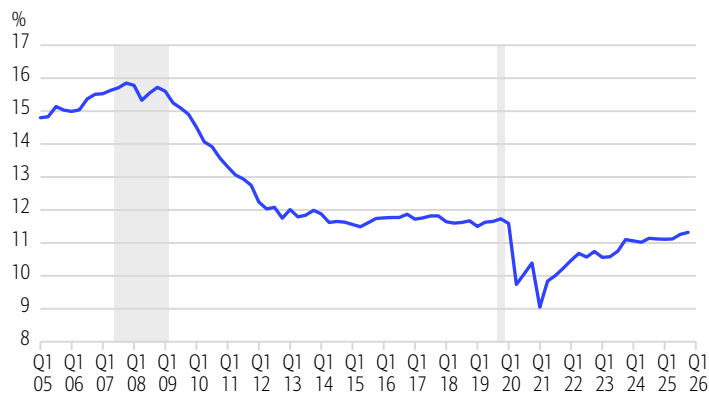
Some of these hairline cracks are notable, like the percentage of credit card balances at least 90 days delinquent, which rose to 13.12% in Q1 of this year, according to the Federal Reserve Bank of New York. That's the highest balance since the period following the 2008 financial crisis (Exhibit 5B). What's more, consumers are paying average interest rates on credit cards north of 21%. More adverse too is the advent of "Rent-Now, Pay-Later," a small bump up in foreclosures, or higher car repossessions. All of which we keep in perspective with consumption trends generally resilient. It's game on for the consumer heading into the summer.

Portfolio Considerations

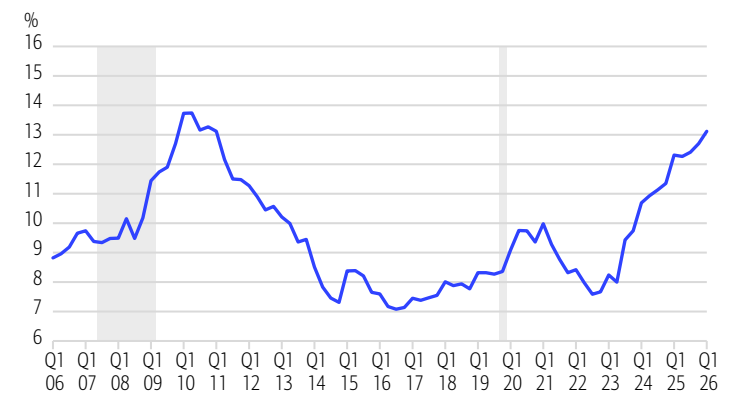
Consumption has remained resilient despite rising rates and mounting debt levels. As an expression of that, and within our Equity allocation, we remain underweight Consumer Staples and overweight Consumer Discretionary.

Exhibit 5: Adding Up Debt Service and Delinquencies.

A) Debt Service Payments as a % of Disposable Personal Income.



B) Credit Card Balances 90+ Days Delinquent.



Exhibits 5A and 5B) Source: Federal Reserve. Data as of June 11, 2026.

² Brown University, The Watson School of International and Public Affairs Iran War Energy Cost Tracker. Tracks the extra cost paid for gasoline since the conflict began on February 28, 2026. Data as of June 11, 2026.

³ Source: Federal Reserve data as of June 2026.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	51,202.26	0.7	0.5	7.4
NASDAQ	25,888.84	0.7	-4.0	11.7
S&P 500	7,431.46	0.7	-1.9	9.2
S&P 400 Mid Cap	3,796.32	2.8	2.0	15.5
Russell 2000	2,943.99	3.9	0.9	19.2
MSCI World	4,788.22	0.7	-1.5	8.8
MSCI EAFE	3,103.02	1.0	-0.4	8.9
MSCI Emerging Markets	1,715.97	0.0	-1.9	23.2

Fixed Income[†]

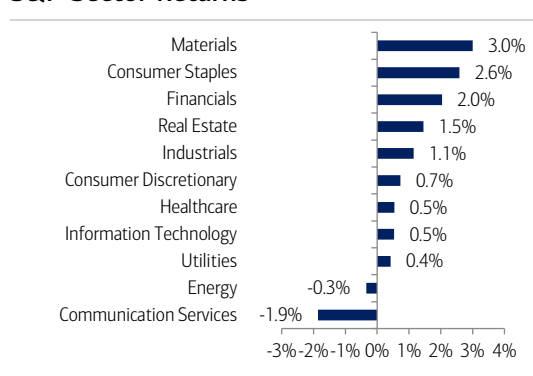
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.64	0.48	-0.03	0.21
Agencies	4.41	0.31	-0.08	0.39
Municipals	3.65	-0.12	0.28	1.62
U.S. Investment-Grade Credit	4.72	0.52	-0.03	0.35
International	5.18	0.55	-0.04	0.62
High Yield	7.10	0.45	0.03	1.71
90 Day Yield	3.70	3.71	3.67	3.63
2 Year Yield	4.08	4.15	4.00	3.47
10 Year Yield	4.48	4.53	4.44	4.17
30 Year Yield	4.97	5.00	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	331.33	-2.3	-4.1	19.9
WTI Crude \$/Barrel ^{††}	84.88	-6.3	-2.8	47.8
Gold Spot \$/Ounce ^{††}	4219.33	-2.5	-7.1	-2.3

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.16	1.15	1.17	1.17
USD/JPY	160.24	160.29	159.27	156.71
USD/CNH	6.76	6.79	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/08/2026 to 06/12/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 06/12/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/12/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.6	3.5	2.2
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of June 12, 2026.

Sources: BofA Global Research; GWIM ISC as of June 12, 2026. .

Asset Class Weightings (as of 6/2/2026)

Asset Class	CIO View				
	Underweight		Neutral		Overweight
Global Equities	•	•	•	•	•
U.S. Large-cap Growth	•	•	•	•	•
U.S. Large-cap Value	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
International Developed	•	•	•	•	•
Emerging Markets	•	•	•	•	•
Global Fixed Income	•	•	•	•	•
U.S. Governments	•	•	•	•	•
U.S. Mortgages	•	•	•	•	•
U.S. Corporates	•	•	•	•	•
International Fixed Income	•	•	•	•	•
High Yield	•	•	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•	•	•
U.S. High Yield Tax Exempt	•	•	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight		Neutral		Overweight
Industrials	•	•	•	•	•
Consumer Discretionary	•	•	•	•	•
Financials	•	•	•	•	•
Information Technology	•	•	•	•	•
Energy	•	•	•	•	•
Materials	•	•	•	•	•
Utilities	•	•	•	•	•
Healthcare	•	•	•	•	•
Communication Services	•	•	•	•	•
Real Estate	•	•	•	•	•
Consumer Staples	•	•	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Price Return measures the market capitalization-adjusted value of 500 leading U.S. publicly traded companies. It reflects only changes in stock prices and excludes the reinvestment of dividends.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a representative "market basket" of consumer goods and services.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 8, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—Midterms Q&A: The Market’s Next Big Hurdle: With less than six months to go, the midterm elections are coming into sharper focus. No two election cycles are created equal, but history may be a useful guide as the season unfolds. Historically, increased volatility has been typical ahead of election season, but reacting to it has rarely paid. While the S&P 500 often experienced modest gains and seasonally weak months during midterm years, the real story emerges once political uncertainty fades into the rearview. The months following an election regularly brought a pronounced rebound regardless of the political party in power. For markets, profits matter more than politics. For investors, the implication is straightforward—tune out the election, the noise, stay focused on fundamentals, and maintain a long-term perspective regardless of how the political winds shift.

Market View—Mega IPOs: Some Thoughts on Trading Dynamics, Liquidity and Retail Access: A pipeline of three high-profile initial public offerings (IPO)—primarily within the Artificial Intelligence (AI) and broader Technology and Telecommunications sectors—is expected in mid-2026, likely attracting significant investor attention and media focus. While the headline valuations are sizable, market structure and post-IPO trading dynamics suggest the immediate impact on broader portfolios may be more contained than anticipated. At the same time, alternative access routes such as Special Purpose Vehicles (SPV) for qualified investors, private vehicles, and exchange-traded funds (ETF) introduce additional structural, valuation, and regulatory considerations that require careful assessment. Overall, our outlook remains cautiously constructive: The market appears capable of absorbing the new issuance, but near-term performance is likely to be influenced more by supply-demand dynamics and technical factors than underlying fundamentals, with potential for increased volatility.

Thought of the Week— What Do Shifting Rate Expectations Mean for the U.S. Debt Maturity Wall?: Since the start of the U.S./Iran conflict on February 28, the market has gone from pricing in 2 to 3 interest rate cuts this year to seriously entertaining the possibility of a rate hike. Where rates are headed matters not just for rate-sensitive areas of the economy like housing and construction but also for the wall of U.S. government debt set to mature. Indeed, owing to massive pandemic-era borrowing, \$9 trillion must be refinanced through year-end at higher rates. Meanwhile, the U.S. Treasury’s preference for shorter-term issuance suggests refinancing needs may remain elevated.

Inflation will be key to watch this summer, though the good news is that long-run inflation expectations are still well-anchored and demand for U.S. debt stands strong. Though not our base case, an unexpected shift in Federal Reserve (Fed) policy would pose risks not only to growth but also to America’s debt interest burden. We continue to urge diversification in portfolios given shifting expectations.

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[THOUGHT OF THE WEEK ►](#)

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Midterms Q&A: The Market's Next Big Hurdle

Emily Avioli, Vice President and Investment Strategist

Jordy Fuentes, Wealth Management Analyst

Amid this year's relentless news cycle, investors could be forgiven for overlooking an important event on the horizon: The midterm elections are fast approaching. With less than six months to go, however, it may be time to bring them into sharper focus.

Volatility around midterm election years isn't unusual, but this cycle may carry a heightened degree of investor unease. U.S. voters are heading into elections contending with elevated gas prices, inflation concerns, and a deepening affordability squeeze—all factors that could have meaningful electoral consequences. While no two elections are created equal, history may be a useful guide to help frame investor expectations as the season unfolds.

How much volatility should investors brace for? Midterm election years have historically exhibited higher volatility than other years, with the divergence becoming more pronounced over the summer and building into the final months before the election (Exhibit 1A). The Chicago Board Options Exchange Volatility Index confirms the pattern—volatility has generally built in the months before elections and has notably declined once political uncertainty is in the rearview.¹ While the data suggests that markets could get choppy as we inch closer to election day, it's worth noting that market corrections of 10% or more have occurred in only 29% of midterm election years since 1928. Midterm election years tend to be the weakest of any year out of the four-year presidential cycle, but, since 1928, the S&P 500 Index has still seen an annual total return of 7.1%, on average.

How can midterms influence seasonality trends? Compared to nonelection years, midterm years have been weaker in almost every month. September stands out as the laggard—since 1928, the S&P 500 has averaged a 1% loss and was higher only 50% of the time.² As political uncertainty begins to resolve, however, markets tended to experience a pronounced Q4 rebound. The S&P 500 has typically found its footing in October, advancing 67% of the time with an average total return of 2.5% (Exhibit 1B). Overall, S&P 500 Q4 total returns have averaged 6.5%, compared to a muted 0.2% total return during Q1, Q2, and Q3.³

A similar seasonal dynamic has been observed in Small-caps, with the Russell 2000 demonstrating a late-year recovery: November has been the strongest month for Small-caps in midterm years, delivering an average total return of 3.2% and positive outcomes 82% of the time.⁴ Q4 performance for the Russell 2000 Index has historically averaged 6.5%, marking a sharp inflection from the -1.9% decline recorded on average over Q1, Q2, and Q3. Ultimately, Small-caps have seen a slightly negative average annual total return of -0.4% in midterm election years since 1982.

How does 2026 compare so far? Year-to-date (YTD) performance is already above annual midterm year averages, with Small-caps up 14.8% and Large-caps up 8.4%.⁵ While defensives have modestly outperformed cyclicals during past midterm election years, 2026 has diverged from this pattern so far—the top-performing S&P 500 sectors YTD are Energy and Information Technology, with respective total returns of 29.2% and 17.1%. It could also be argued that some of the volatility typically observed in the second half of midterm election years has been pulled forward this year, with the S&P 500 already experiencing a peak-to-trough drawdown of 9.1% in 2026. This reinforces a key point: Every election cycle is unique. While history can provide helpful context, it is not a reliable predictor of market outcomes.

Investment Implications

If history is a guide, there could be more episodic volatility ahead as midterm election season approaches. In our view, any related market weakness could represent a potential buying opportunity for long-term investors.

¹ Bloomberg. Refers to average VIX level around midterm elections from 1990 – 2022.

² Bloomberg. Total returns referenced. Data as of June 1, 2026.

³ Bloomberg, average quarterly performance between Q1 and Q3 of midterm election years. Data as of May 29, 2026. Total returns referenced.

⁴ Bloomberg, June 2, 2026. Includes all available data from 1982 – 2022.

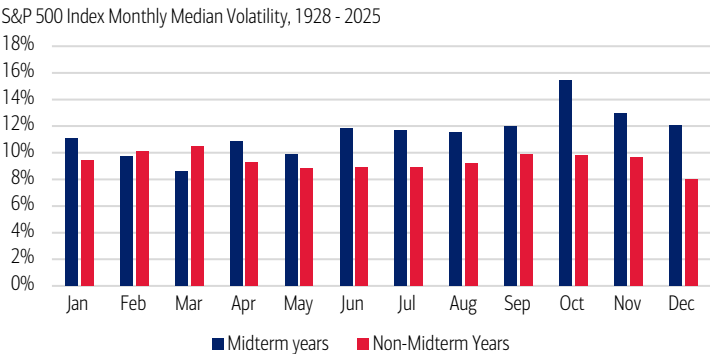
⁵ Bloomberg, May 29, 2026. Total returns referenced.

Does it really matter who wins? Midterm election outcomes can matter at the margin for S&P 500 returns. Equities generally favor divided government, as sweep scenarios elevate the risk of abrupt and disruptive policy shifts. Since 1928, the S&P 500 has delivered an average annual total return of 11.4% under a unified Congress, versus 13.5% when Congress is divided. That said, a split Congress can come with its own set of challenges. Legislative gridlock can complicate negotiations surrounding issues like government funding and the debt ceiling, presenting another flavor of episodic volatility and headline risk. No matter which party wins the election, avoid falling for the misleading idea that the outcome will dramatically change the market's direction—remember, profits matter more than politics.

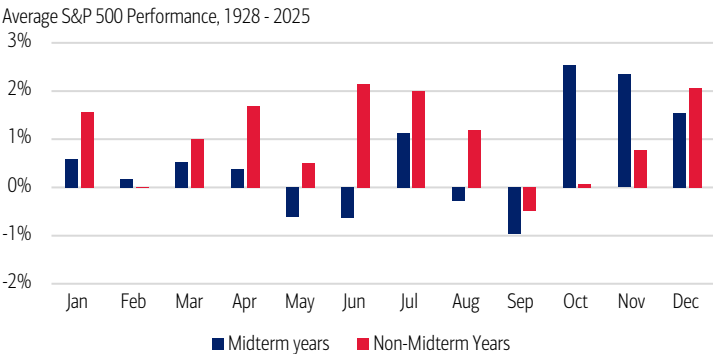
What happens in the year after the election? On this point, the data is clear: Post-midterm election periods have typically been very constructive for Equities. In all available data since 1928, the S&P 500 has risen 92% of the time in the 12 months following the midterm election. Narrowing the data to just the post-war period, the S&P 500 has delivered positive total returns 100% of the time over both 6- and 12-month horizons, averaging 14.9% and 18.3%, respectively (Exhibit 1C). The year after the midterm has also historically been the strongest in the four-year presidential cycle, with an average annual total return of 17.6% since 1928 (Exhibit 1D). When it comes to midterm election volatility, investors have historically reaped the benefits from staying the course.

Exhibit 1: Midterms by the Charts.

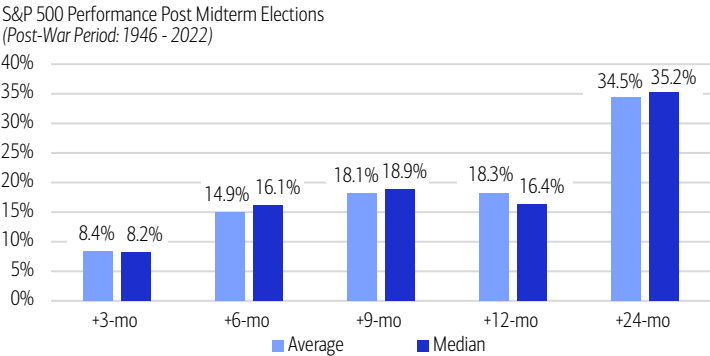
A) S&P 500 Volatility Trends by Month.



B) S&P 500 Average Total Return by Month.



C) S&P 500 Post-midterm Forward Returns.



D) S&P 500 Average Annual Performance Through the Election Cycle.

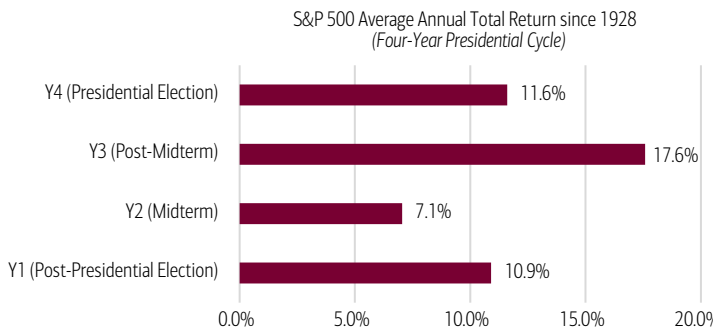


Exhibit 1A) Source: Bloomberg. Data through December 31, 2025, as of June 2, 2026. Volatility is calculated using the standard deviation of daily S&P 500 price returns each month. Median volatility for each month is displayed on an annualized basis. Exhibit 1B) Source: Bloomberg. Data through December 31, 2025, as of June 2, 2026. Total returns referenced. Exhibit 1C) Source: Bloomberg. Data through December 31, 2022, as of June 2, 2026. Total returns referenced. Exhibit 1D) Source: Bloomberg. Data through December 31, 2025, as of June 2, 2026. Total returns referenced. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Bottom Line: Volatility heading into midterm elections is typical, but reacting to it rarely pays. The surrounding noise, whether from media or political rhetoric, often overstates the stakes. History suggests that long-term equity returns are driven by earnings, not election outcomes. For investors, the implication is straightforward—tune out the election, the noise, stay focused on fundamentals, and maintain a long-term perspective regardless of how the political winds shift.

Mega IPOs: Some Thoughts on Trading Dynamics, Liquidity and Retail Access

Chief Investment Office, *Investment Manager Selection Team*

A significant pipeline of three high-profile IPOs—particularly within the AI, Technology and Telecommunication ecosystem—is expected to roll out in mid-2026, generating much investor interest and plenty of media hype.

We believe there are several aspects of these IPOs to consider with respect to portfolio positioning and market impact. While aggregate market values are substantial, the structure of market access and the mechanics of post-IPO trading suggest that near-term market impact may be more limited than headline figures imply.

At the same time, evolving access to potential opportunities or pathways—special purpose vehicles SPVs, private access vehicles, ETFs—can carry meaningful structural, valuation, and regulatory risks that warrant careful diligence.

Our view is constructive but cautious: While the market can likely absorb new issuance, short-term dynamics will likely be driven more by supply constraints and technical factors than by fundamentals. Near-term market volatility could be one outcome of this backdrop.

Index Inclusion Has The Potential To Create Sequential, Nonfundamental Demand

More indexes have introduced "fast entry" mechanisms that allow sizeable IPOs to be included earlier in order to better present their intended exposure. Eligibility requirements and inclusion timelines vary by index methodology, with some indexes adding IPOs as early as 5 days, 10 days, or 15 days after listing. This compares to the typical 3 to 12 month seasoning period for IPOs historically.

As a result, the sizeable nature of these IPOs are set to experience greater index related demand than IPOs historically. However, most core indexes are weighted by a security's free float adjusted market capitalization, not by total market capitalization, meaning these securities will receive more modest index weights, even if the IPO is eligible for early inclusion.

While the market values for the upcoming large IPO companies are very high at around \$3.5 trillion in total, the shares available to purchase and the impact on the market are not likely to be significant initially. This is due to the expected size of the initial float, which is expected to be in the range of 3% to 10%, depending on the company. This level is lower than typical modern technology IPOs at 10% to 25% but not unusual for high-demand IPOs.

Goldman Sachs Portfolio Strategy Research⁶ has estimated that a company with a \$1 trillion market capitalization but only 5% free float would carry an index weighting of roughly 0.1% in the S&P 500, 0.2% in the Russell Growth Index and 1.4% in the Nasdaq-100. The Nasdaq 100 Index is a notable exception, as it uses a modified market capitalization. As such, its inclusion decisions may be particularly important to monitor as constituents could be weighted higher than their free float adjusted market capitalization weight.

Investment Implications

While we believe the upcoming major IPOs could set significant milestones for company market values and provide public access to several innovation leaders, the near-term impact on Equity indexes and portfolios are likely to be contained due to the limited availability of shares and index inclusion guardrails.

⁶ Goldman Sachs Portfolio Strategy Research, U.S. Weekly Kick Start: "The equity market impact of proposed index inclusion rule changes". As of March 20, 2026.

Expect front-loaded price strength and volatility, followed by normalization as supply expands.

We believe there are several positives to be drawn from the small float, mostly tied to volatility. First, the impact on stock(s) sold out of the index (to make room for stocks added) will be manageable as portfolios are rebalanced. Two, the incremental concentration to the AI/Technology theme will not be material in the near term. And three, the market will be able to absorb the new shares in a fluid manner.

As with most IPOs, these stocks are likely to be highly sensitive to trading sentiments in the near term or until supply expands. There will likely be upward pricing pressure on the stocks when added to various indices. And high valuations for certain IPOs could also exacerbate price volatility. Volatility should subside following lock-up periods, and insider selling and secondary offerings increase share supply.

There are multiple strategies to access IPOs.

Along with the pipeline of high-profile IPOs, it is important to consider how to access these companies. Given the ability to invest earlier in a company's lifecycle at lower valuations and with attractive deal structures, CIO would advocate qualified investors getting IPO exposure through investing in Long-Only Growth Equity Funds or for qualified investors via Venture Capital and Private Growth Equity Funds.

Retail access is now available in many structures including listed closed end funds and for qualified investors, traditional Private Equity funds (which are potentially more attractive because they are diversified but tend to have the highest allocation % to these deals), evergreen private markets vehicles as well as interval funds and more recently, SPVs.

However, strategies that require periodic liquidity are subject to premium/discount volatility; in addition, highly concentrated, publicly traded strategies contain multiple investment risks beyond the fundamental performance of the IPOs. And recently, regulatory scrutiny has increased around "access vehicles" that seemingly offer exposure to one or a basket of anticipated IPOs, but, in some cases, the offering entity has not had a legal right to those shares.

Conclusion

We believe the upcoming major IPOs could set significant milestones for company market values and provide public access to several innovation leaders, the near-term impact on Equity Indexes and portfolios are likely to be contained due to the limited availability of shares and index inclusion guardrails.

We continue to believe that some of the best ways to access the pre-IPO market is through Private Equity and Venture Capital funds for qualified investors, including some of the new evergreen/interval structures that carry the benefit of early entry valuation and significantly less volatility. When considering an allocation to these IPOs, it is important to note that many clients have significant exposure to the Technology sector in both public and private solutions given recent markets, so any allocation to individual companies should be sized appropriately.

What Do Shifting Rate Expectations Mean for the U.S. Debt Maturity Wall?

Ariana Chiu, Assistant Vice President and Investment Strategist

Since the start of the U.S./Iran conflict on February 28, the market has gone from pricing in 2 to 3 rate cuts this year to seriously entertaining the possibility of a rate hike. Where rates are headed matters not only for rate-sensitive areas of the economy like housing and construction but also for the wall of U.S. government debt set to mature this year and beyond. Owing to massive pandemic-era borrowing at near-zero interest rates, \$9 trillion in government debt must be refinanced by year-end, now at rates closer to 3.5% to 4% (Exhibit 2A and B).

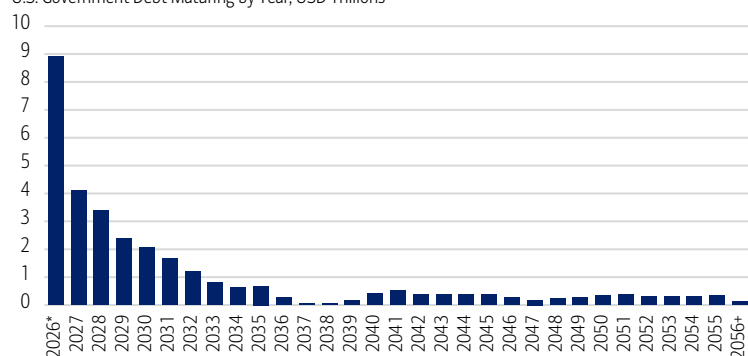
Investment Implications

The path of inflation and interest rates warrants close monitoring this summer given the Iran conflict, AI supply chain strains, and resilient economic growth. Our base case continues to be that the Fed remains on hold this year.

Exhibit 2: On the Watchlist: Maturing Debt and Higher Rates.

A) A Wall of Maturing Debt ...

U.S. Government Debt Maturing by Year, USD Trillions



B) ... Amid Higher-for-Longer Interest Rates.

Average Interest Rate on Total Marketable U.S. Treasury Securities (%)

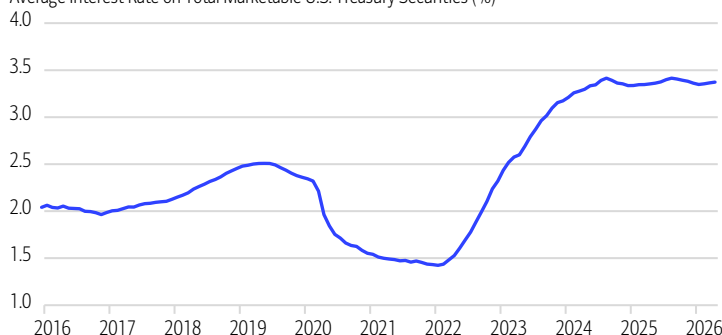


Exhibit 2A) *Refers to June through end of year. 2056+ indicates 2056 or later. Source: Bloomberg. Data as of June 2, 2026. Exhibit 2B) Source: Bloomberg. Data as of April 30, 2026.

Refinancing ample outstanding debt at higher rates means higher interest costs, hardly a source of comfort when Uncle Sam already spends more on interest payments than national defense. Meanwhile, the U.S. Treasury's preference for shorter-term issuance suggests refinancing needs are likely biased higher in years to come; as it stands, 22% of outstanding debt is in Treasury bills (maturity of one year or less).

The path of inflation remains key to watch as we enter the summer months. The good news is that long-run inflation expectations are still well anchored, moderating in recent weeks to pre-war levels. In the meantime, the bond market may have already done some of the heavy lifting for the Fed; Bloomberg Economics estimated at the end of May that the roughly 50 basis-point (bps) move in the 10-year Treasury yield since the start of the war had resulted in tighter financial conditions equivalent to roughly 75 bps of rate hikes.⁷

The most important question is whether investors will continue to demand U.S. debt. The answer is still a resounding yes, in our view. Indeed, for all the geopolitical volatility and uncertainty of the last year, demand for U.S. assets has far from waned thanks to the depth of its financial markets, the dollar's reserve currency status, and strong economic fundamentals. Foreign holdings of U.S. Treasuries, just one of many drivers of demand, reached a record \$9.5 trillion during Q1 according to the U.S. Treasury.

Looking ahead, a major change in Fed policy (e.g., unanticipated swift rate hikes) would be cause for concern, not only for growth but also for the effective interest burden on outstanding debt which has remained relatively flat thanks to older, lower-rate debt. That's not our base case, and we remain watchful of inflation and labor inputs in the months to come. Potentially shifting rate expectations only further reinforces the importance of diversification across and within asset classes in portfolios.

⁷ "Bond Market Hanks War 75-bps Fed Rate Hike Already," Bloomberg, May 28, 2026.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	50,866.78	-0.2	-0.2	6.6
NASDAQ	25,709.43	-4.7	-4.7	10.9
S&P 500	7,383.74	-2.5	-2.5	8.4
S&P 400 Mid Cap	3,693.56	-0.8	-0.8	12.3
Russell 2000	2,833.50	-2.9	-2.9	14.7
MSCI World	4,755.77	-2.2	-2.2	8.0
MSCI EAFE	3,073.71	-1.4	-1.4	7.9
MSCI Emerging Markets	1,717.34	-1.9	-1.9	23.2

Fixed Income[†]

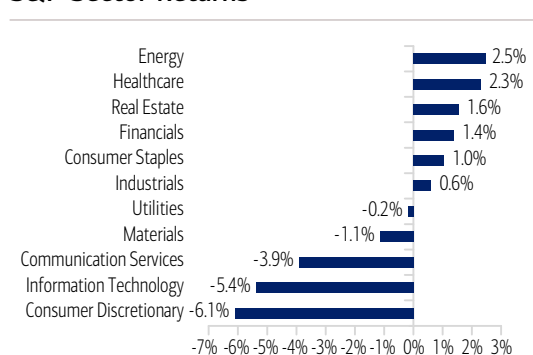
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.71	-0.50	-0.50	-0.26
Agencies	4.48	-0.38	-0.38	0.09
Municipals	3.62	0.39	0.39	1.74
U.S. Investment-Grade Credit	4.80	-0.54	-0.54	-0.17
International	5.26	-0.59	-0.59	0.08
High Yield	7.19	-0.42	-0.42	1.26
90 Day Yield	3.71	3.67	3.67	3.63
2 Year Yield	4.15	4.00	4.00	3.47
10 Year Yield	4.53	4.44	4.44	4.17
30 Year Yield	5.00	4.97	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	339.28	-1.8	-1.8	22.8
WTI Crude \$/Barrel ^{††}	90.54	3.6	3.6	57.7
Gold Spot \$/Ounce ^{††}	4328.45	-4.7	-4.7	0.2

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.15	1.17	1.17	1.17
USD/JPY	160.29	159.27	159.27	156.71
USD/CNH	6.79	6.76	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/01/2026 to 06/05/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 06/05/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/5/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	1.6	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.5	3.5	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.8	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of June 5, 2026.

Sources: BofA Global Research; GWIM ISC as of June 5, 2026.

Asset Class Weightings (as of 6/2/2026)

Asset Class	CIO View				
	Underweight		Neutral		Overweight
Global Equities	•	•	•	•	•
U.S. Large-cap Growth	•	•	•	•	•
U.S. Large-cap Value	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
International Developed	•	•	•	•	•
Emerging Markets	•	•	•	•	•
Global Fixed Income	•	•	•	•	•
U.S. Governments	•	•	•	•	•
U.S. Mortgages	•	•	•	•	•
U.S. Corporates	•	•	•	•	•
International Fixed Income	•	•	•	•	•
High Yield	•	•	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•	•	•
U.S. High Yield Tax Exempt	•	•	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight		Neutral		Overweight
Industrials	•	•	•	•	•
Consumer Discretionary	•	•	•	•	•
Financials	•	•	•	•	•
Information Technology	•	•	•	•	•
Energy	•	•	•	•	•
Materials	•	•	•	•	•
Utilities	•	•	•	•	•
Healthcare	•	•	•	•	•
Communication Services	•	•	•	•	•
Real Estate	•	•	•	•	•
Consumer Staples	•	•	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Total Return is a performance benchmark that measures the index's price changes and assumes all cash dividends are reinvested.

Russell 2000 Index tracks the performance of the 2000 largest U.S. companies, serving as a key benchmark for mega-cap and ultra-large-cap equities.

Chicago Board Options Exchange Volatility Index is a real-time market index that measures the expected 30-day forward-looking volatility of the U.S. stock market.

Russell Growth Index measures the performance of US large cap growth stocks.

Nasdaq 100 Index includes 100 of the largest domestic and international non-financial companies listed on The Nasdaq Stock Market based on market capitalization.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 1, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—Higher Yields Tolerable, Not Recessionary: Since the onset of the Hormuz-related oil shock in early March, analysts' concerns about higher-than-expected inflation and Federal Reserve (Fed) policy rates have intensified. Yet, market pricing suggests relatively well-anchored long-term inflation expectations and stable interest-rate term premia. Long-term Treasury yields—key to equity valuations and private sector borrowing costs—have thus remained within the narrow range of the past three years. With risk appetite generally unfazed, markets don't seem to see interest rates as a barrier to continued expansion and earnings growth. While current market pricing suggests yields are being driven primarily by stronger growth and productivity expectations, a shift toward term-premium-driven rate increases or a pick-up in long-term inflation expectations would create a less benign regime for risk assets.

Market View—Stock-Bond Correlations Are Shifting: What It Means for Diversification: The rising correlation between stocks and bonds has raised an important question for investors: Is traditional diversification still working? For much of the past two decades, the answer was largely yes. Stock and bond returns were consistently low to negative, with bonds reliably hedging equity market drawdowns. When stocks fell, bonds typically rallied, helping to cushion losses and smooth portfolio returns. More recently, however, that relationship has become less stable, with stocks and bonds at times moving in tandem. While both asset classes remain essential to diversified portfolios, the backdrop in which they operate has shifted, particularly as inflation uncertainty has become a more dominant macro force. The takeaway is that investors may want to consider taking a more dynamic approach to diversification ahead.

Thought of the Week—Four Stats for Five Months: Five months into 2026, markets have already packed in what feels like a full year's worth of headlines. Through it all, the S&P 500 Index has been remarkably resilient. Four stats help tell the story: Five Artificial Intelligence (AI)-oriented stocks make up about half of the S&P 500's year-to-date (YTD) return, six consecutive quarters of double-digit earnings growth for the S&P 500, 11 trading days for the S&P 500 to rebound from the brink of correction territory to reach a new record, and 19 new all-time highs posted by the S&P 500 this year. The numbers point to a market that has handled the noise in stride. Five months down, seven to go—stay the course.

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MACRO STRATEGY ►

MARKET VIEW ►

THOUGHT OF THE WEEK ►

MARKETS IN REVIEW ►

Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and GDP growth remains near or above 2%.

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Higher Yields Tolerable, Not Recessionary

Chief Investment Office, Macro Strategy Team

The recent inflation flareup and rise in Treasury yields have reignited concerns about the durability of the expansion, debt sustainability and Equity prices. Yet, higher yields do not inherently imply weaker growth prospects and lower risk-asset prices—the broader context is more important. When rates rise alongside stronger growth, productivity and profits, Equity prices can continue to advance. Conversely, rates pushed higher by unanchored inflation expectations, prospects for materially tighter policy, or worsening fiscal dynamics are more likely to weigh on risk assets.

This distinction has been evident over the past six years and helps explain the perceived disconnect in recent market pricing. Indeed, U.S. equity markets have largely defied concerns over the U.S./Iran war, sharply higher energy prices, and “higher-for-longer” Fed policy rates, testing new highs. As discussed below, they appear to see rates as “higher but tolerable” rather than “higher and recessionary.” Here are some of the factors supporting this view:

- **The magnitude and reasons behind interest-rate moves matter.** Meaningful Equity drawdowns over the past three years have often been associated with sharp repricing due to upside inflation surprises and spikes in Treasury yield risk premia. This time around, stability in both the long-run term premium (Exhibit 1A) and inflation expectations have limited the equity market response. Despite the recent inflation flareup, long-term yields have remained broadly within the range established since 2023. The 10-year Treasury yield rose from roughly 4.0% at the onset of the conflict (near the bottom of the range) to a high of about 4.67% (near top of the range). While short-term yields have risen as markets repriced a “higher-for-longer” policy path in the wake of the U.S./Iran war, markets seem to view the current burst of inflation as transitory and a higher policy rate tolerable given stronger-than-expected growth.
- **Yield-curve shape still favorable for the growth outlook.** Although not particularly steep, it typically takes a much flatter or inverted yield curve to signal restrictive policy sufficient to materially weaken the growth and profits outlook.
- **Bonds lost relative appeal in a world of higher risks of inflation than growth.** Larger government deficits, resolved deleveraging pressures, a higher inflation environment, and increased supply-chain risks due to geopolitics create a regime of higher relative inflation risks than growth risks. With growth scares mainly arising from the inflation side, which is negative for bonds, Equity price drawdowns cannot be mitigated by bond buying as during the low-growth, low-inflation “secular stagnation” post-2008/2009 Global Financial Crisis period. Stocks and bonds thus decline at the same time, diminishing the diversification appeal of government bonds. In contrast to bonds, inflation pass-through and stronger growth prospects tied to AI further boost the relative growth potential and appeal of Equities, narrowing the equity risk premium and sustaining their valuations and returns.
- **Incoming data supportive.** Despite headwinds from the Iran oil shock to certain manufacturing areas, industrial production strongly surprised to the upside in April. As expected, AI-related investment (electronics, electrical equipment, infrastructure), fiscal support (business equipment, defense, aerospace), and wealth effects (increased motor-vehicle output) significantly contributed to expanding activity. These tailwinds, mixed with growing inventory restocking needs, cement the industrial sector growth path (Exhibit 1B)—a significant support for the growth and earnings outlook given the sector’s strong multiplier effects on the economy.

Portfolio Considerations

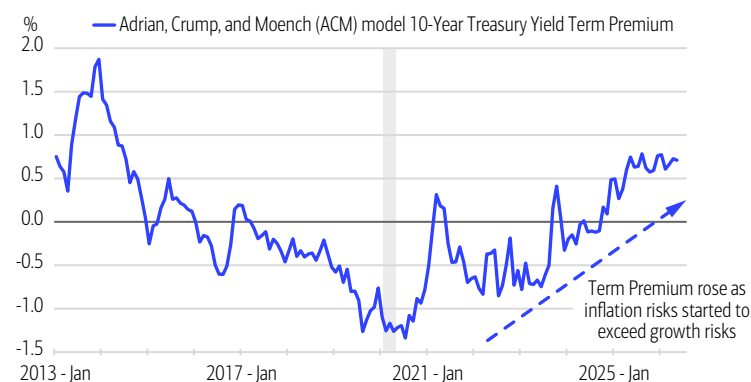
Markets signal a higher-growth, higher-real-rate environment. We continue to favor Equities, particularly in areas related to AI-led investment, wealth effects, and government support. Large deficits and reduced diversification benefits from sovereign debt securities argue for continued caution toward longer-duration government bonds.

- **Cross-asset signals constructive.** Market behavior is inconsistent with a classic inflation scare, aggressive Fed tightening, and related growth headwinds. Credit spreads remain tight, Equity volatility as measured by the Volatility Index (VIX) has retreated to below-average levels, and economically-sensitive sectors, such as Industrials and Technology, continue to outperform. Copper prices have strengthened, while defensive assets, such as gold, have lagged. If markets were driven by fiscal stress or concerns of overly restrictive Fed policy due to inflation worries, the opposite pattern would be expected to prevail.
- **Demand for risk assets underpinned by strong profits.** Earnings expectations—including for smaller-cap companies, which typically are highly sensitive to deteriorating growth prospects—have increased. AI-related investment, large fiscal deficits, strong wealth effects, and investment in energy, defense and reshoring are strongly boosting corporate cash flows and earnings. In turn, solid profits help sustain labor demand and business investment in a self-reinforcing economic expansion.
- **Rates and debt dynamics.** Large fiscal deficits have been an important source of support for corporate revenues and profits in an environment of heretofore soft business investment and uneven household wealth/income growth. Debt and deficits sustainability considerations therefore remain central to interest-rate dynamics, growth and profits. For now, however, as noted above, long-term Treasury yields remain contained, as inflation expectations are still anchored and embedded term premia remain stable, consistent with expectations for manageable inflation risks and fiscal sustainability pressures. Indeed, continued AI- and business-investment-led productivity growth around 2.0% to 2.5% would materially improve the long-run debt-to-gross domestic product trajectory compared with current projections, which are based on more conservative productivity assumptions.

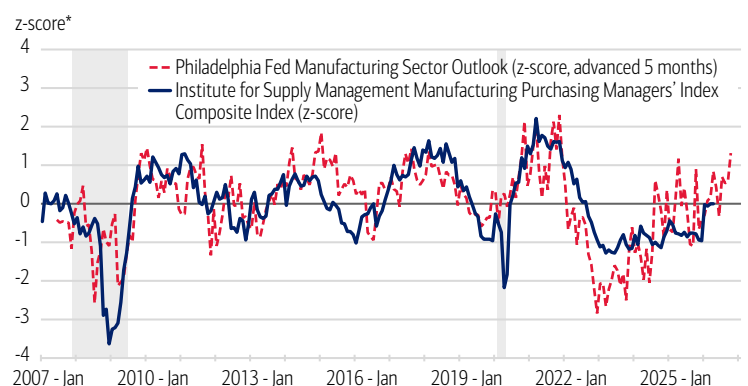
In sum, the U.S. macroeconomic backdrop remains resilient, with limited signs of broad overheating and untethered inflation. While inflation and interest rates warrant monitoring, markets continue to view the recent rise in yields as broadly benign—reflecting stronger-than-expected growth, improving productivity and solid earnings growth, rather than impending deterioration in growth prospects and ensuing financial instability. We continue to believe that absent an unanchoring of inflation expectations or a sharp rise in real yields unrelated to strengthening growth prospects, the expansion is likely to prove durable—a constructive backdrop for risk assets and investor sentiment.

Exhibit 1: Market Pricing Consistent With Contained Inflation Expectations and Broadening Growth.

A) Stable bond risk premia over the past year inconsistent with unanchored inflation and destabilizing Fed tightening.



B) Manufacturing gaining steam, positive for growth and profits.



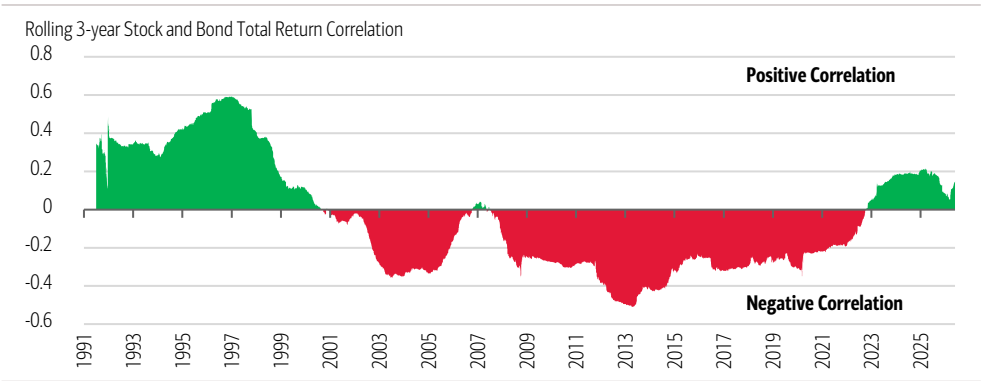
Gray bars represent recessionary periods. ACM provides an approach for extracting term premia from Treasury yields. In standard economic theory, yields on Treasury securities are composed of two components: expectations of the future path of short-term Treasury yields and the Treasury term premium. Exhibit 1A Sources: Federal Reserve Bank of New York/Haver Analytics. Data as of May 26, 2026. *z-score is the number of standard deviations from the mean of a data set. Exhibit 1B Sources: Institute for Supply Management, Federal Reserve Bank of Philadelphia/Haver Analytics. Data as of May 27, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Stock–Bond Correlations Are Shifting: What It Means for Diversification

Kirsten Cabacungan, Vice President and Investment Strategist

The rising correlation between stocks and bonds has raised an important question for investors: *Is traditional diversification still working?* For much of the past two decades, the answer was largely yes. Stock and bond returns were consistently low to negative, with bonds reliably hedging equity market drawdowns. When stocks fell, bonds typically rallied, helping to cushion losses and smooth portfolio returns. More recently, however, that relationship has become less stable, with stocks and bonds at times moving in tandem (Exhibit 2). While both asset classes remain essential to diversified portfolios, the backdrop in which they operate has shifted, particularly as inflation uncertainty has become a more dominant macro force.

Exhibit 2: Long-Term Correlations Reflect Shifting Macro Regimes.



Source: Stocks represented by the S&P 500 Total Return Index. Bonds represented by the Bloomberg U.S. Aggregate Bond Total Return Index. Bloomberg. Data as of May 27, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

The traditional 60/40 allocation framework, typically defined as 60% Equities and 40% Fixed Income, has long relied on this inverse relationship between stocks and bonds. By combining Equities for growth potential with Fixed Income for income and downside mitigation, the strategy has historically delivered resilient outcomes across market cycles. A 60/40 allocation has generated positive annual returns in 29 out of the last 36 years.¹

The pandemic era, however, marked an inflection point. A surge in fiscal and monetary stimulus drove inflation to multidecade highs, prompting an aggressive Fed tightening cycle and a transition to a higher-rate environment. This period represented a clear departure from the prior regime of low and stable inflation and easy financial conditions to one defined by elevated inflation, policy uncertainty and tighter financial conditions. The consequences of this shift were most evident in 2022, when both stocks and bonds declined sharply, resulting in a roughly 16% drawdown for a 60/40 allocation,¹ its worst annual performance since 2008. Rather than offsetting Equity losses, rising rates weighed on both asset classes simultaneously, challenging the foundational assumption of the traditional 60/40 playbook.

Since then, higher yields have helped bonds regain some footing, contributing to a meaningful rebound in multi-asset portfolios. A 60/40 allocation¹ delivered strong returns in the subsequent years, up 18% in 2023, 16% in 2024, and 14% in 2025, 15% in 2024 and 14% in 2025, supported by improved income and some restoration of diversification benefits. For example, during last year’s tariff-driven Equity selloff, bonds provided stability, with the Bloomberg U.S. Aggregate Bond Index rising approximately 1%, while the S&P 500 declined roughly 18% from mid-February 2025 to early April 2025.

Importantly, although diversification benefits have returned, correlations have remained more variable than in the prior cycle. More recently, renewed inflation concerns amid the U.S.-Iran

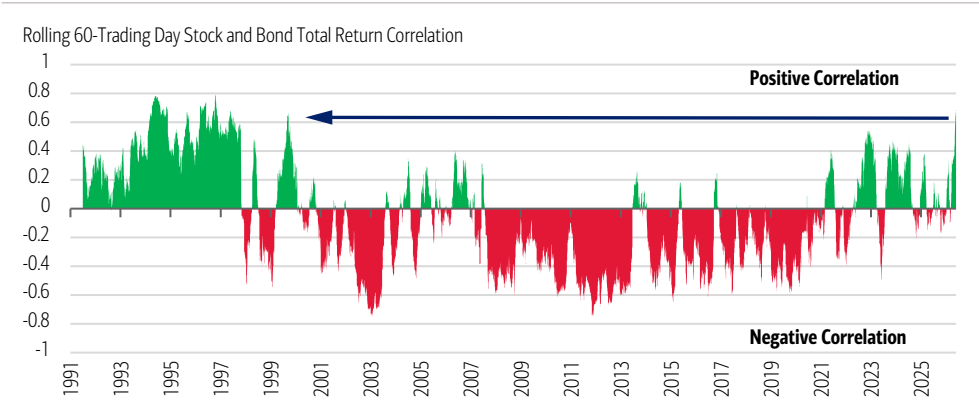
Portfolio Considerations

We continue to emphasize the highest level of diversification within multi-asset portfolios, with an overweight bias to Equities given our expectation for strong earnings growth for 2026. We remain constructive on Fixed Income overall and continue to favor a significant allocation to bonds in a well-diversified portfolio. Investors may consider enhancing diversification by incorporating inflation-sensitive assets, Alternative Investments, for qualified investors, as well as ensuring broadening exposure across equity sectors, styles and geographies.

¹ Source: Chief Investment Office calculations. A 60/40 allocation assumes a 60% allocation to the S&P 500 Total Return Index and 40% to the Bloomberg U.S. Aggregate Bond Total Return Index, rebalanced annually. Data reflects the period from 1990-2025. **For informational purposes only.** Indexes are not managed and do not take into account fees or expenses.

war supply shock and uncertainty around Fed policy have once again pressured both asset classes, pushing short-term stock–bond correlations sharply higher to their most extreme levels since 1999 (Exhibit 3).

Exhibit 3: Short-Term Correlations Hit Most Positive Level since 1999.



Source: Stocks represented by the S&P 500 Total Return Index. Bonds represented by the Bloomberg U.S. Aggregate Bond Total Return Index. Bloomberg. Data as of May 27, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Rising real interest rates have likely also played a role, increasing the sensitivity of both stocks and bonds to changes in interest rates. Part of the recent increase in real rates likely reflects a more constructive long-term growth outlook, supported by expectations that AI-driven productivity gains could lift equilibrium growth—and with it, the neutral rate.

Taken together, these developments underscore just how dependent the relationship between stocks and bonds is on the macroeconomic environment, particularly the balance between inflation and growth. In low-and-stable-inflation environments, stock-bond correlations tend to be low or negative as growth concerns dominate, driving stocks lower while bonds benefit from falling rates as the Fed cuts rates. In contrast, correlations tend to turn positive in inflationary or stagflationary environments, where inflation concerns dominate growth. That environment creates a more constrained policy backdrop, where the Fed has less ability to respond aggressively to slowing growth because of rising prices. In other words, stocks and bonds could decline simultaneously, limiting the ability of the portfolio to cushion downside risk.

The takeaway is not that diversification has broken down but that it has become more regime-dependent—reinforcing the need to adapt, not abandon, the 60/40 framework. It remains a strong foundation for balanced portfolios, particularly for investors seeking a mix of growth and stability. Bonds continue to play a critical role, providing income and diversification during growth-driven downturns. Importantly, current nominal and real yields, near the higher end of their range since 2008, have improved the overall return outlook for Fixed Income, reinforcing its value within a portfolio.

What has changed, however, is that investors may want to consider taking a more dynamic approach to diversification—one that incorporates a broader set of exposures with different macro sensitivities. Additional diversifiers may include inflation-sensitive assets such as real assets, including commodities, infrastructure and real estate, as well as accessing private markets through alternative investment strategies for qualified investors. It also means being more deliberate within Equities. As market leadership has narrowed with the rise of AI, concentration risk has increased. The top 10 stocks in the S&P 500 now account for roughly 39% of total market capitalization, up from 23% at the start of 2020, underscoring the importance of diversification across sectors, styles and exposures.

The upshot is that periods of volatility and shifting asset relationships are a natural part of investing. While market regimes evolve, the principles of investing remain the same. Staying anchored to strategic asset allocations, maintaining broad diversification, and rebalancing thoughtfully can help investors navigate uncertainty. In a more complex macro environment, the goal is not to abandon diversification, but to make it more resilient.

Four Stats for Five Months

Emily Avioli, Vice President and Investment Strategist

Five months into 2026, markets have already packed in what feels like a full year’s worth of headlines: a geopolitical conflict in the Middle East, an energy price shock, and a steep selloff followed by a rapid recovery. Through it all, the S&P 500 has been remarkably resilient. Four stats help tell the story.

- 1. Five AI-oriented stocks make up about half of the S&P 500’s 9.8% YTD return. After a shaky start to the year, AI beneficiaries rebounded on renewed optimism about the buildout and Q1 earnings results that confirmed massive capital expenditures commitments remain intact. The Technology sector has led the S&P 500 higher since the March 30 low and is now the second-best performing sector in the S&P 500 YTD (Exhibit 4A).
- 2. Six consecutive quarters of double-digit year-over-year (YoY) earnings-per-share (EPS) growth for the S&P 500 as of Q1. The index notched 28.4% YoY EPS growth last quarter, marking the fastest pace since Q4 2021. Mega-cap technology earnings continue to lead the pack, but momentum has expanded to other areas—the S&P 493 reported YoY EPS growth of 17.4% in Q1, also the best since 2021 (Exhibit 4B). S&P 500 earnings estimates for the full year 2026 have moved higher in response.
- 3. 11 trading days for the S&P 500 to rebound from the brink of correction territory to reach a new record. The S&P 500 fell by 9.1% before swiftly snapping back, delivering the best 11-day price return in over four years. The S&P 500 has still not experienced a 10% pullback since April 2025—such drawdowns historically occur once a year on average (Exhibit 4C).
- 4. 19 new all-time highs posted by the S&P 500 YTD. Along the way, the index has also crossed five new “round-number” milestones, moving from sub-7,000 to start the year to above 7,500 by the end of May. For context, the S&P 500 recorded just three all-time highs over the same January to May window in 2025 (Exhibit 4D).

Portfolio Considerations

If the first five months of the year are any guide, the remainder are likely to be choppy. We continue to view potential periods of market weakness as a potential buying opportunity for long-term investors.

The first few months of the year have been anything but quiet, but the data points to a market that has handled the headlines in stride. Five months down, seven to go—stay the course.

Exhibit 4: 2026 by Charts

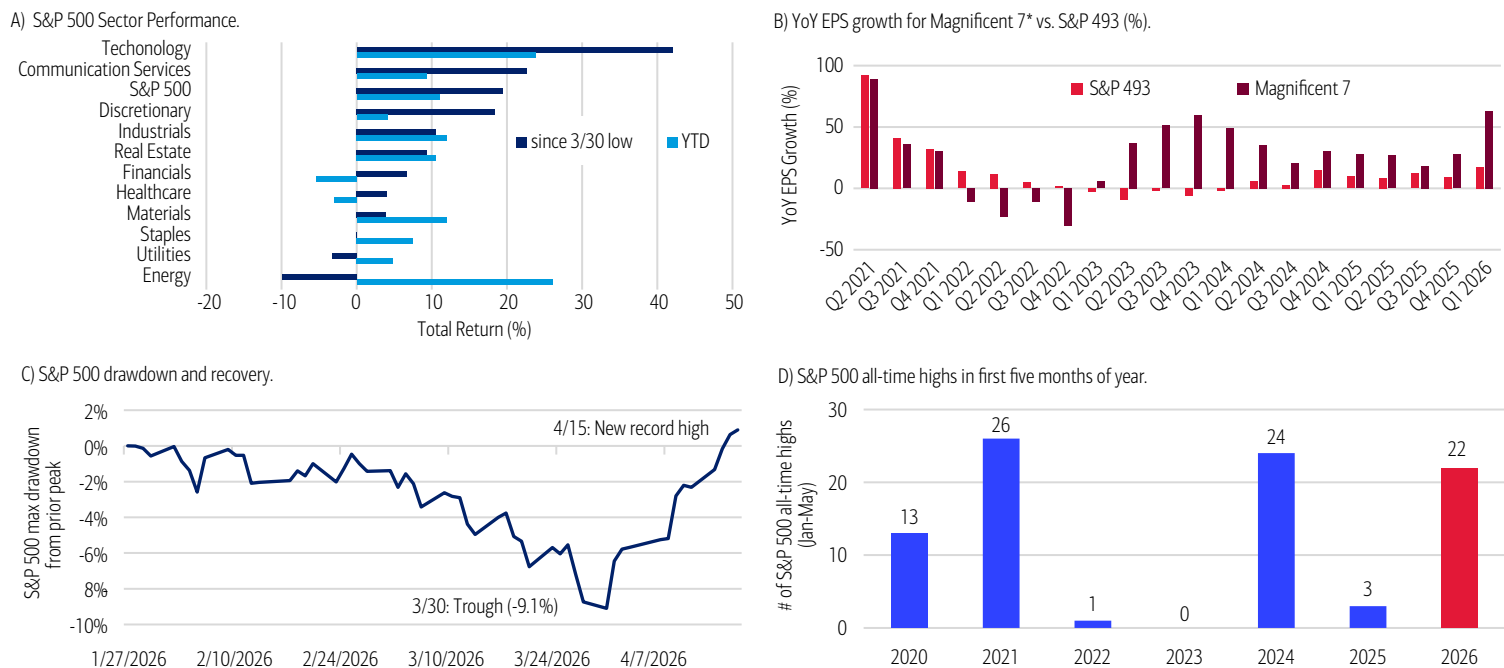


Exhibit 4A) Source: Bloomberg. As of May 29, 2026. Exhibit 4B) *Magnificent 7=Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla. Source: FactSet. As of May 29, 2026. Exhibit 4C) Source: Bloomberg. As of May 29, 2026. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trends. Exhibit 4D) Source: Bloomberg. As of May 29, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	51,032.46	0.9	2.9	6.9
NASDAQ	26,972.62	2.4	8.4	16.3
S&P 500	7,580.06	1.4	5.3	11.3
S&P 400 Mid Cap	3,725.13	1.4	2.5	13.3
Russell 2000	2,919.34	1.8	4.4	18.2
MSCI World	4,864.59	1.3	4.6	10.5
MSCI EAFE	3,117.57	1.1	3.1	9.4
MSCI Emerging Markets	1,752.15	4.0	9.7	25.6

Fixed Income[†]

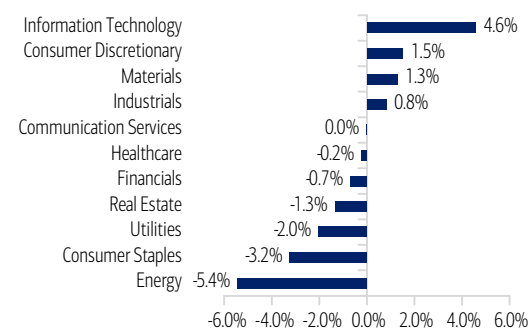
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.58	0.84	0.32	0.24
Agencies	4.33	0.53	0.09	0.47
Municipals	3.67	1.03	0.37	1.34
U.S. Investment-Grade Credit	4.67	0.83	0.31	0.38
International	5.13	0.97	0.76	0.67
High Yield	6.96	0.55	0.49	1.68
90 Day Yield	3.67	3.66	3.66	3.63
2 Year Yield	4.00	4.12	3.87	3.47
10 Year Yield	4.44	4.56	4.37	4.17
30 Year Yield	4.97	5.06	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	345.39	-2.5	-3.6	25.0
WTI Crude \$/Barrel ^{††}	87.36	-9.6	-16.9	52.1
Gold Spot \$/Ounce ^{††}	4540.26	0.7	-1.7	5.1

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.17	1.16	1.17	1.17
USD/JPY	159.27	159.18	156.59	156.71
USD/CNH	6.76	6.80	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/25/2026 to 05/29/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 05/29/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/29/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	1.6	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.1	4.0	3.7	3.6	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of May 29, 2026.

Sources: BofA Global Research; GWIM ISC as of May 29, 2026.

Asset Class Weightings (as of 5/5/2026)

Asset Class	CIO View				
	Underweight	Neutral	Overweight		
Global Equities	•	•	•	•	•
U.S. Large-cap Growth	•	•	•	•	•
U.S. Large-cap Value	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
International Developed	•	•	•	•	•
Emerging Markets	•	•	•	•	•
Global Fixed Income	•	•	•	•	•
U.S. Governments	•	•	•	•	•
U.S. Mortgages	•	•	•	•	•
U.S. Corporates	•	•	•	•	•
International Fixed Income	•	•	•	•	•
High Yield	•	•	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•	•	•
U.S. High Yield Tax Exempt	•	•	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight	Neutral	Overweight		
Industrials	•	•	•	•	•
Consumer Discretionary	•	•	•	•	•
Financials	•	•	•	•	•
Information Technology	•	•	•	•	•
Energy	•	•	•	•	•
Materials	•	•	•	•	•
Utilities	•	•	•	•	•
Healthcare	•	•	•	•	•
Communication Services	•	•	•	•	•
Real Estate	•	•	•	•	•
Consumer Staples	•	•	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Total Return is a performance benchmark that measures the index's price changes and assumes all cash dividends are reinvested.

Chicago Board Options Exchange Volatility Index (VIX) is a real-time market index that measures the expected 30-day forward-looking volatility of the U.S. stock market.

Institute for Supply Management Manufacturing Purchasing Managers 'Composite Index is an economic indicator that assesses the business environment by surveying purchasing managers at private-sector companies about their expectations for orders, production, employment, and supplier deliveries.

Bloomberg U.S. Aggregate Bond Index Total Return is a broad-based flagship benchmark that measures the investment grade, US dollar-denominated, fixed-rate taxable bond market.

S&P 493 refers to the S&P 500 Index excluding the top 7 largest companies, often referred to as the Magnificent Seven. It essentially represents the performance of the remaining 493 companies in the S&P 500.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 26, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Markets Versus the Experts*: The conventional wisdom about the implications of the Iran war for energy prices and the economy is at odds with the performance of markets that continue to send a message of stronger growth, low long-term inflation and solid corporate earnings rather than the 1970's style stagflation message of the pundits. In short, the equity market, which has reached the beginning-of-the-year consensus for the 2026 year-end S&P 500 Index target of about 7500 more than six months ahead of schedule, seems to see something quite different from the doomsters. Bullish strategists have raised their year-end targets into the 8000-plus area as a result. Likewise, global bond yields have jumped, not because of a rising inflation outlook as some believe, but rather because a stronger global economy driven by a surge in global investment spending implies more robust demand for credit to fund the more productive economy of the future. Real interest rates are rising as accelerating borrowing demand puts more pressure on long-term funding costs. Private sector borrowing, which languished after the 2008/2009 Great Financial Crisis (GFC), is taking off in the "Roaring 20's." Long-term inflation expectations remain well-anchored despite the energy-induced spike in short-term expectations. A successful end to the Iran war could eventually push oil prices even lower than their pre-war levels and along with rising productivity impart a massive disinflationary shock to the global economy.

Market View—*Rethinking the Emerging Markets as an Asset Class*: It is time to rethink the Emerging Market (EM) moniker since we believe the broad-brush label created back in the 1980s is too diverse, fragmented, geopolitically divided and concentrated to function as a coherent investment category in today's world. Originally, EMs promised exposure to younger populations, rising middle classes, accelerating industrialization and faster growth relative to aging developed markets, coupled with the assumption that these nations would move toward greater convergence with developed nations. Today, however, things are different. We still look favorably on the asset class, but we continue to urge investors to be discerning about exposure to EMs. First, "EMs" hardly represent a homogeneous group. Second, globalization once lifted most EM boats, but geopolitical alignment in today's world matters as much as traditional macroeconomic variables. Third, returns remain highly dependent on U.S. dollar swings. Fourth, the assumption that EMs would converge with developed nations has not panned out. Finally, owing to Artificial Intelligence (AI) exposure, the MSCI EM Index is more concentrated than ever. We maintain our tactically overweight stance on EMs, but all the nuances above reinforce our preference for an active¹ approach to the asset class in portfolios.

Thought of the Week—*The Drive to "5": \$5 Gasoline, 5% Inflation, 5% 10-Year*: Pushing higher are gasoline prices, inflation and Treasury yields. Gasoline prices have surged more than 50% since the start of the Iran war, pushing past \$4.50 per gallon and significantly increasing the cumulative cost to consumers. This has contributed to headline consumer inflation rising from 2.4% year-over-year (YoY) in February to 3.8% by April, alongside a 6% YoY jump in producer inflation, signaling inflation pressures in the pipeline. At the same time, the 10-year yield surged to 4.67% last week, its highest since January 2025, as the 30-year yield hit 5.18%, its highest level since July 2007. The pace of these moves risk pressuring Equities and may limit the Federal Reserve's (Fed) ability to ease while reinforcing the need for more balanced portfolio positioning amid shifting macro-outcomes.

¹ Active management seeks to outperform benchmarks through active investment decisions such as asset allocation and investment selection.

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MACRO STRATEGY ►

MARKET VIEW ►

THOUGHT OF THE WEEK ►

MARKETS IN REVIEW ►

Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and gross domestic product (GDP) growth remains near or above 2%.

The Markets Versus the Experts

Chief Investment Office, Macro Strategy Team

An excellent interview with four prominent analysts in the May 18 edition of Barron's² starts with three of the experts agreeing with the first question posed by the interviewer:

"Do you agree that the oil price is a broken barometer and the market is irrational?" The fourth panelist, who is more of a generalist investor rather than an energy expert, poses a follow-up question: "Don't we have to ask ourselves why these signals aren't materializing?" He goes on to say: "It's usually wrong to stand in your ivory tower shouting out the window that a broad swath of people is mistaken. In my 30 years' experience in markets...that's been a dangerous tactic." That experience illustrates a fundamental principle:

- When the market disagrees with the experts, the market often sees a fundamental truth that the experts are missing.
- Are current oil prices irrational, or are they telling us a different story that the experts don't see?

Energy experts have been baffled by the disconnect between their dire view of the energy shock's consequences and the fact that the energy futures market has remained relatively calm, with prices eventually moving closer to their pre-war levels rather than the catastrophic surges they are warning about.

Since oil prices are the markets' main concern since the war began, this disconnect extends into the equity markets where generally positive performance seems to fly in the face of all the dire predictions coming from the experts concentrating on the energy shock. If the market is a better processor of information than the pundits, there must be some logical explanation for the disconnect that the experts are missing.

The New World Order and the Iran War. Part of the problem for the experts today is that they learned their analytical frameworks in the old-world order that has been eradicated by the political revolution in the U.S., a revolution that Eurasia Group analysts dubbed the number one risk for 2026. Among their top 10 risks for the year, most had to do with the radical change under way in the geopolitical framework the experts learned in their formative years. The blueprint for the new world order is succinctly summarized in the U.S. administration's November 2025 position paper that lays out the new "National Security Strategy of the United States of America." The elements of this new strategy are playing out in real time in the Iran War, yet many media and market analysts seem to be ignoring the connections. The markets on the other hand cannot afford to ignore them because real money is at stake.

Here are some of the obvious connections to the new U.S. strategy starting in the Western Hemisphere, where the new policies put particular focus. Prioritizing the Western Hemisphere because of its proximity as originally expressed in the Monroe Doctrine, the administration has moved to reduce China and Russia influence in the neighborhood, including Venezuela, Cuba and the Panama Canal for example. Venezuela is especially important because it has the largest oil reserves in the world and was a major exporter to China. Iran and Venezuela together account for about 30% of China's oil imports, and Sankey Research estimates China has been left about 5 million barrels per day (bpd), short if the Hormuz shutdown goes on indefinitely. U.S. emergence as the world's biggest energy producer and now exporter together with control over Venezuelan oil creates significant leverage to help counter China leverage as the dominant processor of rare earth minerals. Reducing Russia and China influence in South America is a valuable benefit that is relevant for the ultimate outcome of the Iran War which the market seems to understand better than the pundits in our view.

Even more relevant for the war's outcome are the changed dynamics in the middle east. Here as well, China, and Russia influence has been eroding with the diminishing power of their ally, Iran, which the new National Security Strategy dubs the "chief destabilizing force" in the Middle East. It's significant that neither Russia nor China has stepped up to stop the U.S. from eroding the power of their proxies in the Western Hemisphere or Iran.

Investment Implications

A better-than-expected outcome from the Iran War would have positive implications for global growth, corporate earnings, and risk assets in our view. Market signals suggest a better-than-expected outcome is more likely than the consensus expects.

² Barron's, "Beyond Hormuz", Avi Salzman, May 18, 2026.

This is another reason to expect a more positive outcome from the war than the experts are anticipating. The new national security strategy puts an emphasis on better relations with the Gulf Arab States as well as better relations between Israel and the Gulf States (Abraham Accords). Rather than intimidate the Gulf States the Iran attacks on Saudi and United Arab Emirates facilities appear to have strengthened their resolve to “take care” of the Iranian radicals. This is driving them closer to both the U.S. and Israel.

A May 16 Wall Street Journal³ article notes the change. “This war was a thresholding event in so many different ways.” It has caused what a former U.S. deputy assistant secretary of defense for the Middle East calls “a watershed moment in how Gulf air forces—specifically the Saudis and Emiratis, which have the most capable air forces of the Gulf countries, moved from using them in defensive ways to offensive ways.” Events of the past few years were already moving toward increased U.S. influence and reduced Russia and China influence in the region. Iran has been the primary actor pulling the strings for them. All of this suggests the view that the U.S. will “cut its losses” and leave a hostile Iran regime in place may be wrong despite the powerful short-term political incentives. A much bigger result would be an Iran friendly to its Gulf neighbors and the U.S. The result of a peaceful Middle East would be a golden age of economic development. The benefits would be global in scope in our view. The stars have aligned in a way that makes such an outcome a real possibility. The market in any event seems to be assigning a higher probability to a favorable outcome than the experts assuming a “cut your losses” scenario with the Islamic Revolutionary Guard Corps still hostile to the world.

Market Signals Consistent with a Favorable Outcome. The rise in long-term bond yields around the world has prompted concerns about stagflation, a term that dates to the 1970’s to describe the simultaneous rise of inflation and unemployment. In the U.S. half of the stagflation mix is missing. The labor market remains remarkably resilient. Unemployment claims are very low. Job growth has picked up with the manufacturing sector as factory output rose for the fourth straight month in April with early indications for May showing more of the same. In short, the unemployment rate has been steady at a historically low level and is inconsistent with stagflation.

The reason for a healthy labor market is not hard to find. Corporate profits posted a strong Q1 and are rising much faster than normal. According to BofA Global Research, the Global Earnings Revision Ratio rose in May led by a significant increase in the U.S. Earnings are the source of economic growth and the world economy is showing strong earnings increases. The rise in energy prices is hurting the profits of some companies and helping those of others, especially energy companies where a lot of recent upward revisions to earnings are. The relative outperformance of U.S. earnings revisions reflects U.S. energy independence and net exporter status, especially compared to economies that are net energy importers. Rather than a stagnating economy, higher energy prices have caused a remixing of strong profits in a cyclical upswing.

It’s typical as a cycle matures for the Fed to drop its easing bias and move to a more neutral stance as we are seeing.

Eventually a neutral posture gives way to a tightening bias as the economy overheats and labor costs pressure inflation higher. That’s not happening. The rebalancing of the labor market after the post-pandemic overheating has brought unit labor cost increases down to about 2% consistent with the Fed’s inflation target.

Rising productivity has contained labor costs keeping long-term inflation expectations well anchored and consistent with the Fed’s target despite the flare-up in energy prices which the futures market believes is temporary. In these circumstances it is doubtful that a Warsh-led Fed would raise rates anytime soon as some suggest. In fact, if a disinflation shock hits the world after the war ends, easing could even be back on the table. All things considered, a neutral stance seems logical for the time being.

In the meantime, the rise in rates to date seems like a normal cyclical rise as the market prices in a neutral Fed policy into longer-term rates that had been priced for some easing. It’s reassuring that the bulk of interest rate increases are in real rates reflecting a strong growth outlook as the investment boom raises long duration credit demand to finance the productivity enhancing technology of the future. Rates are essentially returning to pre-GFC levels, which are more consistent with stronger nominal GDP growth after the long subpar nominal regime of the zero-rate era.

³ Wall Street Journal, “The Gulf Powers Aim to Restore Balance”, Jared Maisin, Summer Said, and Shelby Holliday, May 16, 2026.

Rethinking the Emerging Markets as an Asset Class

Joseph P. Quinlan, *Managing Director and Head of CIO Market Strategy*

Ariana Chiu, *Assistant Vice President, Investment Strategist*

It is time to rethink the EM moniker since we believe the broad-brush label created back in the 1980s is too diverse, too fragmented, too geopolitically divided and too concentrated to function as a coherent investment category in today's world.

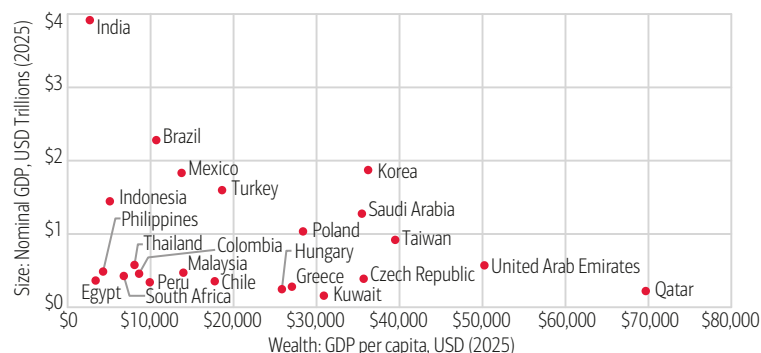
The original investment concept promised investors exposure to countries with younger populations, rising middle classes, increased urbanization, accelerating industrialization, and faster economic and earnings growth relative to aging developed markets. These common characteristics were coupled with the underlying assumption that these nations were all broadly moving in the same direction—towards greater convergence with the developed nations. Hence, as a distinct and diversified asset class from mature developed nations, EMs offered investors the potential for outsized returns relative to their developed peers. It was the ultimate diversification play.

Today, however, things are different. Yes, we still look favorably on the EM asset class; we are overweight EM. But that said, we have long urged investors to be more discerning and nuanced about exposure to EM for a variety of reasons.

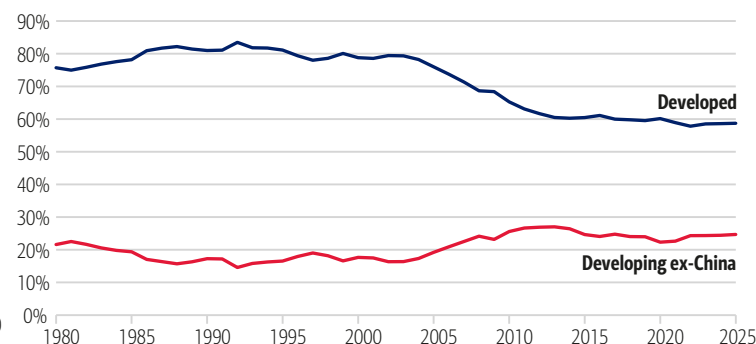
First, the term “emerging markets” hardly represents a homogeneous group. The constituents of this asset class are wide ranging and diverse, all operating under different political systems, possessing different demographic profiles, and different economic models (Exhibit 1A).

Exhibit 1: EMs Are Diverse and Haven't Converged with the Developed World.

A) Wealth vs. Size: EMs Are Hardly Homogeneous.



B) Share of Global Nominal GDP.



Source: International Monetary Fund. Data as of April 2026.

And virtually all of these economies are at different levels of development—China, for instance, is a state-led manufacturing superpower dependent on export growth, juxtaposed against India's service-led democracy powered by domestic consumption and demographics much more favorable than China's. Vietnam is a play on global supply chain diversification from China. Brazil and much of South America remains heavily tied to the global commodities cycle. What is the investment common denominator that links Colombia to the Czech Republic, or South Africa to Greece? There isn't one.

Second, while trade liberalization and globalization in the 1990s represented a tide that lifted most EM boats—and supported the theme of economic convergence—today's fraught world of geopolitics is forcing countries into different strategic camps (U.S. vs China), different supply-chain ecosystems, and different technological blocs. Today, investors increasingly need to understand which EMs are aligned with the U.S. or China, and the risks associated with this geopolitical choice. Geopolitical alignment matters as much as traditional macroeconomic variables.

Another consideration for investors is the U.S. dollar, given that benchmark indexes are based on the US currency. Returns on EM assets, in other words, are highly dependent on swings in the U.S. dollar, with 2025 EM returns a case: Nearly one-fifth of the MSCI EM index's 34% total return last year was driven by a weaker U.S. dollar rather than investment fundamentals.

Portfolio Considerations

Our tactical overweight to EMs is caveated with a preference for an active approach because individual countries differ widely across fundamentals, geopolitical alignment, and index construction. Key areas of opportunity include technology leaders in Asia and commodity producers in Latin America. EM currencies also have room to appreciate against the dollar which should benefit EM returns this year.

A fourth reason for caution: The underlying premise of EM investing—that this cohort would converge with the incomes and development of the developed nations—has not panned out. Faster levels of economic growth were supposed to turbocharge EM returns relative to the developed nations but as Exhibit 1B highlights, the EM’s share of global GDP, ex. China, was just 24.7% in 2025, marginally higher than the 22.5% share back in 1981.

The central tenet of EM investing—that the future belonged to the EMs—went awry for two reasons: One, many developing nations failed to build strong political and economic institutions, reliable legal systems, productive capital markets and advanced innovation systems that all had the effect of depressing growth and development. And two, the developed world—notably the U.S.—never stood still. The original EM thesis was that the developed world would stagnate, while the developing nations would catch up. Hardly. Investors, in particular, underestimated the resilience of the U.S. and its strategic advantages in innovation, higher education, capital markets, energy production and entrepreneurship, to name a few strengths. Against this backdrop, it is hardly surprising that U.S. Equities have outperformed the MSCI EM index by 166% this century.

And finally, one more note for consideration: AI is eating the world—including the EMs. Owing to sky-high growth in just a handful of AI names, the MSCI EM Index is now more concentrated than ever. On a country level, Taiwan and Korea now account for a combined 46% of the index, outpacing China and India at a combined 33% after Taiwan surpassed China to become the largest country in the index (Exhibit 2A). Just three semiconductor stocks now make up 27% of the index, including Taiwan Semiconductor Manufacturing Company at 14%—that’s larger than India’s weight at 11%.

That’s another way of saying that, taken in aggregate, the EM universe has become increasingly leveraged and exposed to the AI trade. So much so that the Technology sector has a larger presence in the MSCI EM Index (40% weight) than the S&P 500 (37%). Of course, AI heavyweights in EM Asia are inextricably linked to AI heavyweights in the U.S., often relying on American companies for a significant share of revenues. Hence the dramatic rise in AI-related exports from Taiwan and Korea this year owing in part to insatiable demand from the U.S. (Exhibit 2B).

Exhibit 2: AI is Eating the EMs.

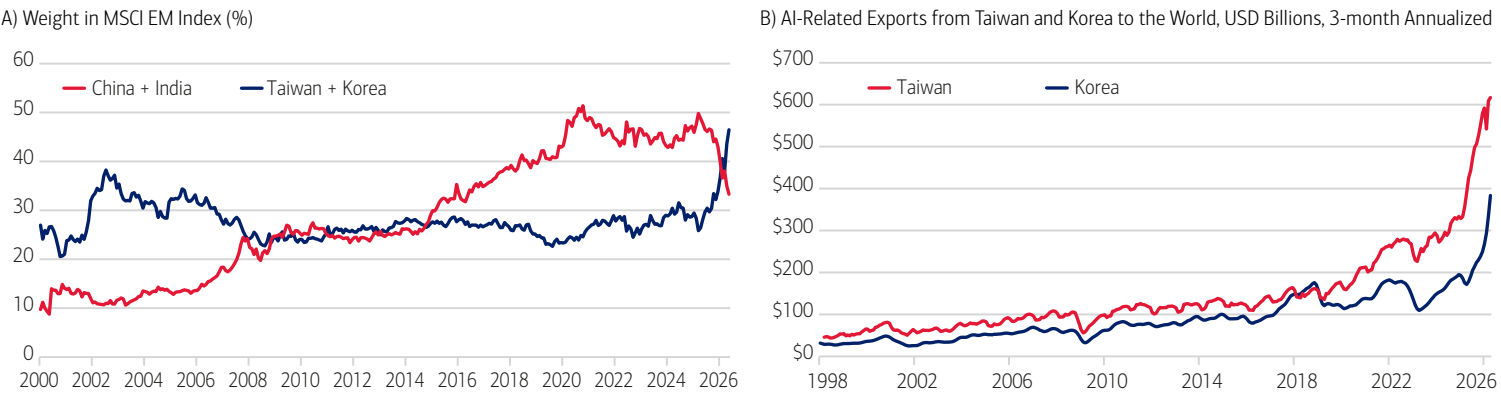


Exhibit 2A Source: FactSet. Data as of May 19, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index. Exhibit 2B Sources: Taiwan Ministry of Finance, Korea Ministry of Trade, Industry and Resources, Haver Analytics. AI-related exports include household electronics, semiconductors, automatic data processing machines, telecommunications equipment, electrical machinery and parts. Data as of May 19, 2026.

The bottom line for investors: Now approaching 50 years since the EM label was born, it’s time for a rethink. Across fundamentals, geopolitical alignment, and sector exposures, every country in the asset class is different. Geopolitical risk and the rise of AI only exacerbate these differences, in our view. We continue to like technology leaders in Taiwan, South Korea, and China and are positive on the emerging China biotech sector. Commodity-exposed markets in Latin America are primed to benefit from the resource and metal-intensive global buildout of AI infrastructure, electrification and reshoring. Eventual de-escalation in Europe and the Middle East would provide a massive catalyst for reconstruction, aiding global cyclical and industrial players in Emerging Europe. Overall, we maintain our tactically overweight stance on EMs given AI tailwinds and strong fundamentals, but all the nuances above reinforce our preference for an active approach to the asset class in portfolios.

The Drive to "5": \$5 Gasoline, 5% Inflation, 5% 10-Year

Lauren J. Sanfilippo, Director and Senior Investment Strategist

The “5” level on gas prices, consumer inflation, and the 10-year isn’t inconceivable with gasoline prices pushing beyond \$4.50 a gallon, a consumer price index (CPI) trending toward 4%, and the 10-year Treasury yield breaching 4.60%. Gone is the low-rate, low(er)-inflation pre-war backdrop. While none of these “5s” are what we’d consider our base case, they are rather high on our radar screen.

On the day the Iran war broke out, the national average for regular gasoline was \$2.98 a gallon and has surged to \$4.49 most recently, a rise of roughly 50% in under three months. National prices have plateaued around \$4.50 over the past few weeks, though Brent crude continues to trade up to a \$100 barrel. The total consumer cost resulting from the difference in the actual gas price compared to a no-war scenario is \$26.6 billion and growing. See Exhibit 3A for the pain at the pump. Brown University’s Watson School of International and Public Affairs estimate a \$203 per household cost given higher gas prices.

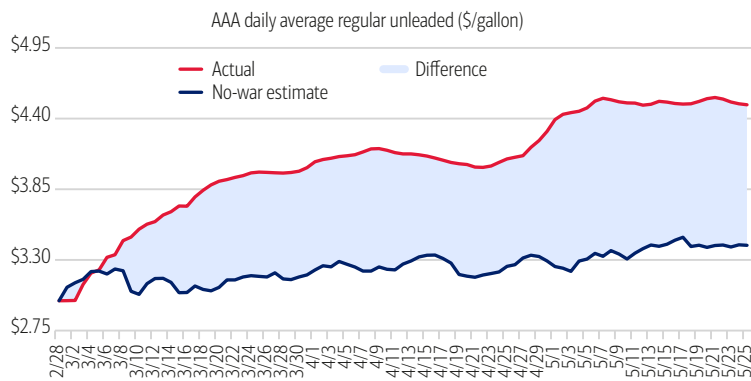
The gasoline price hike contributed to the spike in headline inflation from a closer-to-target 2.4% YoY in February to 3.8% in April. The producer price index measuring producer inflation clocked in at 6% YoY in April, a multiyear high. With the Strait of Hormuz still closed and crude oil prices still elevated, near-term upside inflation risks remain firmly intact. In sympathy, the U.S. 10-year Treasury yield has climbed 57 basis points from 4.03% at the start of the war through 4.50% as of late. (See Exhibit 3B for the trend in inflation and yields.) Long-end yields have already neared multi-decade highs. Notably, the most recent 30-year Treasury auction cleared at 5%, a level not seen since 2007.

Investment Implications

A key variable for the back half of the year is how high gas, inflation and yields will travel, with global central banks increasingly unsynchronized. For Equities, it’s not just the level, but the speed of the adjustment in rates that matters. Equity markets have historically better tolerated more gradual increases in yields compared to sharper accelerations.

Exhibit 3: On the Up and Up-Gas prices, Inflation and Yields.

A) National Gas Prices



B) The "5s" in Focus.

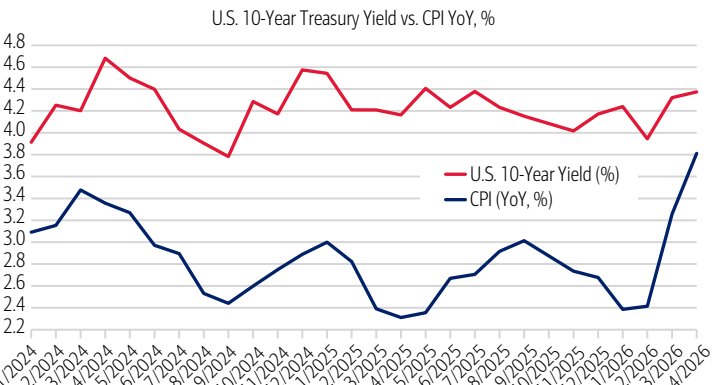


Exhibit 3A Source: The Watson School of International and Public Affairs at Brown. Data as of March 25, 2026. Area between two lines indicates consumer cost burden vs. no-war estimate.
Exhibit 3B Source: Bloomberg. Monthly data as of May 2026. **Past performance is no guarantee of future results.**

Ultimately, the path of U.S. gasoline prices will be a key transmission channel into inflation, Fed expectations, and consumer spending. Inflation moving into a range of 4 to 5%, may limit the Fed's ability to cut rates this year. Consequently, BofA Global Research has pushed out its rate cut call to the back half of 2027. Above all else, and from an investment perspective, the drive to “5s” will stress test portfolios and underscores the need for more balanced Equity exposure amid shifting outcomes for the macro backdrop.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	50,579.70	2.2	2.0	5.9
NASDAQ	26,343.97	0.5	5.9	13.6
S&P 500	7,473.47	0.9	3.8	9.7
S&P 400 Mid Cap	3,673.41	1.8	1.0	11.7
Russell 2000	2,869.23	2.7	2.6	16.1
MSCI World	4,801.11	1.3	3.2	9.0
MSCI EAFE	3,086.86	2.2	2.0	8.2
MSCI Emerging Markets	1,686.05	1.1	5.5	20.8

Fixed Income[†]

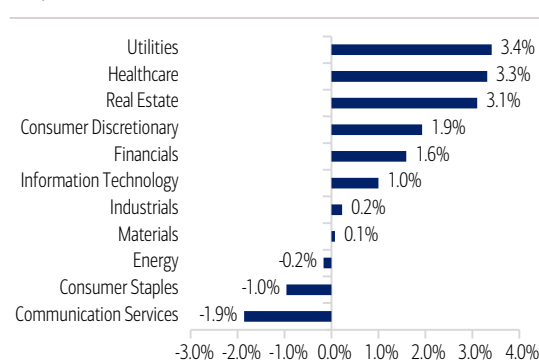
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.71	0.22	-0.51	-0.59
Agencies	4.45	0.06	-0.44	-0.06
Municipals	3.83	-0.28	-0.65	0.31
U.S. Investment-Grade Credit	4.79	0.26	-0.52	-0.45
International	5.26	0.31	-0.21	-0.29
High Yield	7.12	0.25	-0.06	1.13
90 Day Yield	3.66	3.66	3.66	3.63
2 Year Yield	4.12	4.07	3.87	3.47
10 Year Yield	4.56	4.59	4.37	4.17
30 Year Yield	5.06	5.12	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	354.23	-1.5	-1.1	28.2
WTI Crude \$/Barrel ^{††}	96.60	-8.4	-8.1	68.2
Gold Spot \$/Ounce ^{††}	4509.4	-0.7	-2.3	4.4

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.16	1.16	1.17	1.17
USD/JPY	159.18	158.74	156.59	156.71
USD/CNH	6.80	6.81	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/18/2026 to 05/22/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 05/22/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/22/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.3	4.2	3.9	3.8	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the baseline view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **Past performance is no guarantee of future results. There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of May 22, 2026.

Sources: BofA Global Research; GWIM ISC as of May 22, 2026.

Asset Class Weightings (as of 5/5/2026)

Asset Class	CIO View				
	Underweight		Neutral		Overweight
Global Equities	•	•	•	•	•
U.S. Large-cap Growth	•	•	•	•	•
U.S. Large-cap Value	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
U.S. Small-cap Growth	•	•	•	•	•
International Developed	•	•	•	•	•
Emerging Markets	•	•	•	•	•
Global Fixed Income	•	•	•	•	•
U.S. Governments	•	•	•	•	•
U.S. Mortgages	•	•	•	•	•
U.S. Corporates	•	•	•	•	•
International Fixed Income	•	•	•	•	•
High Yield	•	•	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•	•	•
U.S. High Yield Tax Exempt	•	•	•	•	•
Alternative Investments					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight		Neutral		Overweight
Industrials	•	•	•	•	•
Consumer Discretionary	•	•	•	•	•
Financials	•	•	•	•	•
Information Technology	•	•	•	•	•
Energy	•	•	•	•	•
Materials	•	•	•	•	•
Utilities	•	•	•	•	•
Healthcare	•	•	•	•	•
Communication Services	•	•	•	•	•
Real Estate	•	•	•	•	•
Consumer Staples	•	•	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is a statistical metric that measures the average change over time in the prices paid by urban consumers for a representative "market basket" of consumer goods and services.

MSCI Emerging Markets Index captures large and mid cap representation across 24 Emerging Markets (EM) countries.

Producer Price Index is a family of economic metrics that measures the average change over time in the selling prices received by domestic producers for their output.

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